

MCFM
Financial Reporting & Analysis
Session 1

Lecture Materials
FALL 2026

Financial Reporting & Analysis

Session 1

Table of Contents

- Material 1:** Course syllabus 2026 **(Separate document)**
- Material 2:** **Lecture** (Session 1) on “Financial Reporting & Analysis Overview”
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- Material 3:** **Exercises and case study**
(Page 55)
- Material 4:** **Reading #1A:** Houseblend (2026), *IFRS 18 Explained – New Income Statements Requirements*, Houseblend Online, February 2026. **To read in conjunction with Reading #5.**
(Page 62)
- (Page 78)** **Reading #1B:** The Footnotes Analyst (2024), *Why IFRS 18 is Good for Investors*, The Footnotes Online, April 2024
- Material 5:** **Reading #2:** IFRS Foundation (2024), *Transition to integrated reporting - A guide to getting started*, IFRS Foundation, 2024 **(separate document posted on K2).**
- Material 6:** **Reading #3:** Latham & Watkins, *Financial Statement Requirements in US Securities Offerings – What Non-US Issuers Need to Know*, January 2024 | in Association with KPMG LLP **(separate document posted on K2).**
- Material 7:** **Reading #4:** Coeus Management LLC (2013), *How to Focus on “Quality” in Quality of Earnings Reports*, Due Diligence Insights, 2013.
(Page 84)
- Material 8:** **Reading #5:** PwC, *“Basic understanding of a company’s financial statements”*, PwC, September 2020 **(Posted separately on K2).**

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FALL 2026

Heri Rakotovololona, CPA, LL.M

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Course Objectives

- The main objective is to develop analytical skills and critical assessment of individual financial statements, and/or integrated annual reports in an international environment.
- This module emphasizes on the fundamental tools and techniques in financial reporting and financial analysis:
 - Role of financial reporting and the mechanics of the accounting process,
 - Financial statements prepared under **IFRS standards**, individual vs. consolidated financial statements
 - **Impact of different sets of accounting standards on financial statement analysis**

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Course Structure

I. Financial Accounting Overview,

- I. Financial reporting under IFRS,
- II. Statement of cash flows analysis,
- III. Consolidated Financial statements

II. Financial Reporting & Selected Accounting Standards: Examine how key IFRS standards or disruptive events could affect disclosed financial statements and measure of performance,

- ### III. Financial Analysis and measures of performance:
- Interpreting financial analysis basic approach (**GAAP vs. Non-GAAP indicators of performance**),
 - IFRS indicators measure of performance (**IAS 33, IFRS 8 & IFRS 18**)

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Learning Materials

Primary reading:

- Alexander D., Britton A., Jorissen A., Hoogendoorn M. & Van Mourik C. (2023), ***International Financial Reporting and Analysis***, 9th Edition, Cengage Learning EMEA.
- Martin S. Fridson & Fernando Alvarez (2022), ***Financial Statement Analysis – A Practitioner's Guide***, 5th Edition, Wiley Finance Series.

Additional readings:

- Professional Docs posted on K2

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Learning Materials (2)

Additional readings:

1. BDO (2025), **IFRS at a Glance**, as at 31 December 2025 edition, BDO.
2. RSM (2026), **US GAAP to IFRS Comparisons**, April 2026 edition, RSM US LLP.
3. KPMG (2019), **IFRS Compared to French GAAP**, September 2019.
4. IVSC (2024), **“International Valuation Standards (IVS) – effective January 2025”**, International Valuation Standards Council.
5. Latham & Watkins (2024), **Financial Statement Requirements in US Securities Offerings: What Non-US Issuers Need to Know**, January 2024 | in association with KPMG LLP.

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Assessments

- Mid-term examination (during session #4, 2026), 1-hour, 40%
- **CFM_Lille** Final Exam (December 2, 2026), 2-hour, 60%

Any calculator authorized.

Limited documents or personal notes, **FE only**.

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Financial Accounting Overview



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Session 1 Outline

1. Compare the meanings of international financial reporting before and since the adoption of IFRS,
2. Compare the roles of financial reporting in different types of business entity,
3. Explain the objectives of financial reporting standards, and the application of IFRS in the EU and globally,
4. Describe the main functions of general-purpose financial reporting,
5. Understand how financial statements represent, at the same time, **basic tools** for measure of performance, decision making and the foundation for management control.

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Part 1

A Brief Introduction to Financial Reporting

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The Objectives of Financial Reporting Standards and Regulation

- Financial reporting standards: **minimum standard** for quality, quantity and presentation of financial statements;
 - users can compare across time or with other companies to improve resource allocation decisions,
- Financial accounting regulation: **improve transparency** to create a better level playing field for investors;
 - to prevent capital markets from breaking down due to lack of public confidence.

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Financial Reporting & Analysis in Different Business Entities

- In sole traders and basic partnerships: very limited legal obligation
- In private companies: preparation is a legal obligation as part of the corporate governance mechanisms – accountability and stewardship to owners
- In public companies: publication is legal obligation – stewardship to shareholders and accountability to stakeholders, and decision-usefulness to investors

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Recent Developments in Financial Reporting

- **Since 2005**, worldwide implementation of International Financial Reporting Standards (IFRS), except in the US,
- Because of increased complexity of business transactions, growing corporate failures or misleading financial statements disclosures, the stakeholders needed a reliable, transparent and trusted accounting language,
- Emphasis on reporting short-term financial performance to satisfy stock market investors rather than improving the value-added capability of organizations to be successful in the longer term,
- **Effective January 2024**, sustainability-related risks (IFRS S1) and climate-related (IFRS S2) disclosures complete annual reports.

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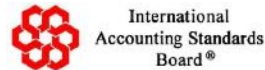
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Accounting Regulations vs. Accounting Standards

→ Local standards for each Country

→  IFRS



→ US GAAP



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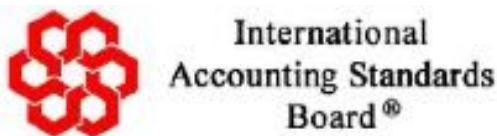
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International Accounting Standards

The goal of the **International Accounting Standards Board (IASB)** is to develop a single set of high-quality, understandable, enforceable and globally accepted financial reporting standards based upon clearly articulated principles.



The IASB has issued 41 IASs' and **20 IFRSs'**.

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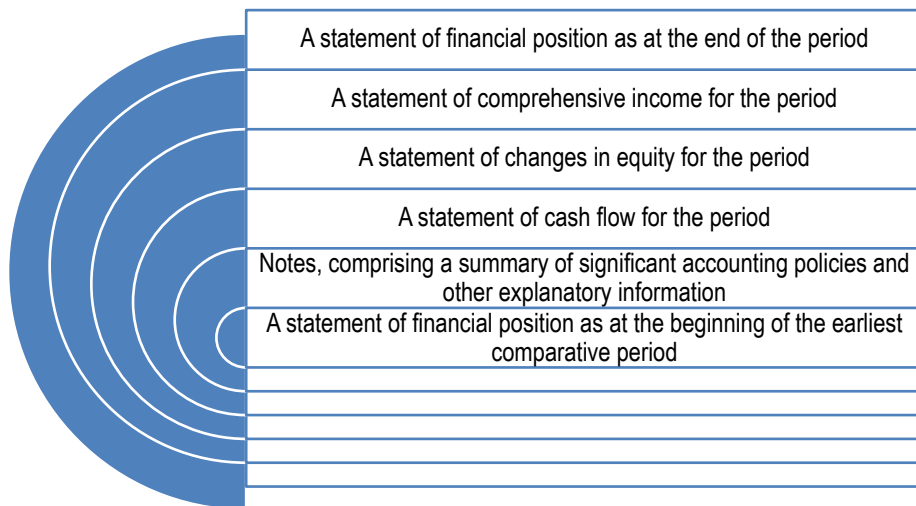
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Complete set of financial statements

IFRS Standards



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Part 2

What is IFRS? - Overview

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What is IFRS ?

- IFRS is a globally recognized set of Standards for the preparation of financial statements by business entities.
- Those Standards prescribe:
 1. The items that should be recognized as assets, liabilities, income and expense;
 2. how to measure those items;
 3. **how to present them in a set of financial statements;** and
 4. **related disclosures** about those items.

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The Development of a Conceptual Framework

- ❖ A conceptual framework for accounting is a statement of **Principles** which provide generally accepted guidance for the development of new **reporting practices** and for challenging and evaluating the existing practices.

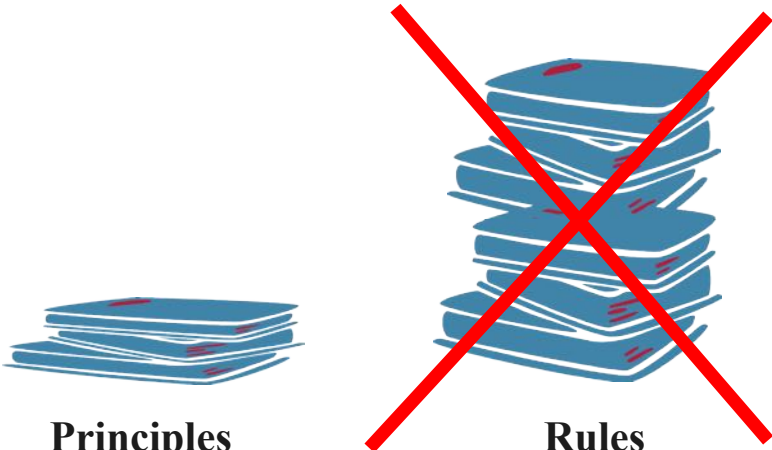
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Principle based Standards



Principles **Rules**

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A Principle-Based Standard...

- No exceptions,
- Core principles (objectives),
- No inconsistencies,
- Tied to conceptual framework,
- Judgement,
- Minimum guidance.

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Why IFRS: Benefits to Capital Markets?

- Credibility of local market to foreign investors,
- More cross-border investment,
- Efficient capital allocation,
- **Comparability across political boundaries,**
- Facilitates global education and training.

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Why IFRS: Benefits to Companies?

- Lower cost of capital,
- Facilitates raising capital abroad,
- Integrated IT systems,
- **“One set of books” + easier consolidation,**
- Better understanding of financial statements from business partners abroad.

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Part 3

Financial Reporting – under IFRS

Conceptual Framework

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Preparation and Presentation of Financial Statements

- A complete set of financial statements (**IAS 1 replaced by IFRS 18**) includes a:
 - Statement of Financial Position (previously Balance Sheet);
 - Income Statement and/or Statement of Comprehensive Income;
 - Statement of Changes in Equity (i.e. changes in shareholders' funds);
 - Statement of Cash Flows (previously Cash Flow Statement);
 - **Explanatory Policies and Explanatory Notes.**

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Elements of Financial Statements

Recognition

Asset

- resource **controlled** by the entity
- result of past event
- expected inflow of economic benefits

Liability

- present obligation
- arising from past event
- Expected outflow of economic benefit

Income

- ✓ recognised increase in asset/ decrease in liability in current reporting period
- ✓ that result in increased

Expense

- ✓ recognised decrease in asset/ increase in liability in current reporting period
- ✓ that result in decreased

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Financial Reporting Essential Characteristics

- **Transparency:**
 - Enhances international comparability and quality of information,
 - Enables market participants to make informed decision,
- **Accountability:**
 - Reducing the information gap between the providers of capital and the people to whom they have entrusted their money,
 - vital importance to regulators around the world,
- **Comparability:** Information is more useful if it can be compared with similar information about other entities and information about the same entity for another period.
- **Understandability:** Classify, characterize, and present information clearly and concisely(among others)

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Part 4

Financial Reporting in Practice

Measurement, Recognition Concepts

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Recognition: Accrual Accounting vs. Cash Flows

Revenue Recognition - *Timing is the Key*

Accrual accounting
recognizes:

Revenue
*when revenue is earned,
at the point of sale of
services or products.*

Expenses
when they are incurred.

Cash flow
recognizes:

Revenue
*when payment is received
for services rendered
or products sold.*

Expenses
when they are paid.

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Measurement Basic Concepts

- Measurement involves **assigning monetary amounts** at which the elements of the financial statements (assets and liabilities) are to be recognised and reported.
- The IFRS Framework acknowledges that a **variety of measurement bases** are used today to different degrees and in varying combinations in financial statements, including:
 - Historical cost,
 - Current cost,
 - Net realisable (settlement) value,
 - Present value (discounted).

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Measurement Basic Concepts (2)

- **Historical cost** is the measurement basis most commonly used today, but it is usually combined with other measurement bases.
- The IFRS Framework does not include concepts or principles for selecting which measurement basis should be used for particular elements of financial statements or in particular circumstances.

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Measurement Basic Concepts (3)

- The concept, defined in **IFRS 13**,
- **Fair value** is the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction (not a forced sale) between market participants (market-based view) at the measurement date (current price).
- **Fair value is a market-based measurement** (it is not an entity-specific measurement). Consequently, the entity's intention to hold an asset or to settle or otherwise fulfill a liability is not relevant when measuring fair value.

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Measurement Basic Concepts (4)

- Information about an entity's financial performance in a period, reflected by **changes in economic resources is useful in assessing** the entity's past and future ability to generate net cash inflows
- **Net realizable value** (of an asset): The estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

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IFRS 13 - Fair Value Measurement

Whether or not market information from **observable market transactions is available**:

- The objective of FV measurement under IFRS 13 is to **estimate the price at which an orderly transaction to sell the asset or transfer the liability would take place between market participants** under current market conditions,
- i.e. Fair value is an **exit price OR value** from the standpoint of a market participant holding the asset or owing the liability.

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IFRS 13 'Fair Value Measurement' - **Exceptions**

IFRS 13 applies, with the following exceptions:

1. Share-based payment transactions within the scope of IFRS 2 'Share-based payments';
2. Leasing transactions within the scope of **IFRS 16 'Leases'**;
3. Measurements that have some similarities to FV but are not FV, such as **net realizable value in IAS 2 'Inventories' or value in use in IAS 36 'Impairment of Assets'**.

In the first two cases, the relevant standards both state, surely & bizarrely, that the earlier 'exchange price' definition continues to apply.

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Applying IFRS 13 to Liabilities or an Entity's own equity instruments

The FV of a liability reflects the **effect of the risk** that the entity owes the liability may not fulfil that obligation, i.e. non-performance risk, which includes, but is not limited to, the entity's own credit risk.

Hence, when measuring the FV of a liability, an entity takes into account the **effects of its own credit risk** as well as other factors that may affect the likelihood that the obligation will be fulfilled.

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Financial Reporting in Practice

Required Disclosure	Financial Statement that Satisfies Requirement
Financial position at the end of the period	Balance Sheet
Earnings for the period	Income Statement
Cash flows during the period	Statement of Cash Flows
Investments by and distributions to owners during the period	Statement of Changes in Stockholders' Equity

In addition to the financial statements, the annual report will include several accompanying notes or explanations of the accounting policies used and detail information about many of the amounts and captions shown in the financial statements.

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Part 5

Financial Reporting in Practice

Presentation Requirements

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Recall: Objective of Financial Statements

To provide information about:

- the financial position;
- the financial performance;
- capability of an enterprise to adapt; and
- changes in the amount due to equity owners.

General purpose: useful to a wide range of users in making economic decisions (IASB).

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THE BALANCE SHEET

(statement of financial position)

- The balance sheet portrays the **financial position of the company** by showing what the company owns and what it owes at the report date.
- It is a snapshot, since it reports the company's financial position at a specific point in time i.e. the accumulated wealth at the end of a period and what form it takes.

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The Balance Sheet

Assets	Claims
Everything the firm owns and controls (from cash to building)	Owners' equity: the owners claim on the organization's assets Liabilities : economic obligations of the organization to outsiders
Assets = Liabilities + Owners' equity	

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Balance Sheet

Balance Sheet

Assets

=

Liabilities

+

Equity

MAIN STREET STORE, INC.
Balance Sheet
August 31, 2014

Assets		Liabilities and Stockholders' Equity		
Current assets:		Current liabilities:		
Cash	\$ 34,000	Accounts payable	\$ 35,000	
Accounts receivable	80,000	Other accrued liabilities	12,000	
Merchandise inventory	170,000	Short-term debt	20,000	
Total current assets	\$284,000	Total current liabilities	\$ 67,000	
Plant and equipment:		Long-term debt		50,000
Equipment	40,000	Total liabilities	\$117,000	
Less: Accumulated depreciation	(4,000)	Stockholders' equity	203,000	
Total assets	<u>\$320,000</u>	Total liabilities and stockholders' equity	<u>\$320,000</u>	

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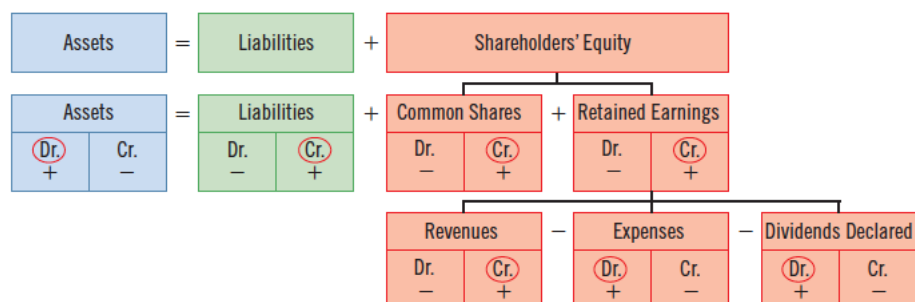
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Balance Sheet – Expanded Accounting Equation



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Balance Sheet

<u>Fixed assets</u> -Intangible assets -Tangible assets (<i>Out of VAT</i>) -Financial assets	<u>Shareholder's Equity</u> Share capital Reserves or retained earnings Net profit <u>Non-current liabilities</u> Bank Loans & Bonds issuance
<u>Current asset</u> -Inventories (<i>Out of VAT</i>) -Trade receivable (<i>VAT Included</i>) -Cash at bank	<u>Current liabilities</u> Trade payables Taxation

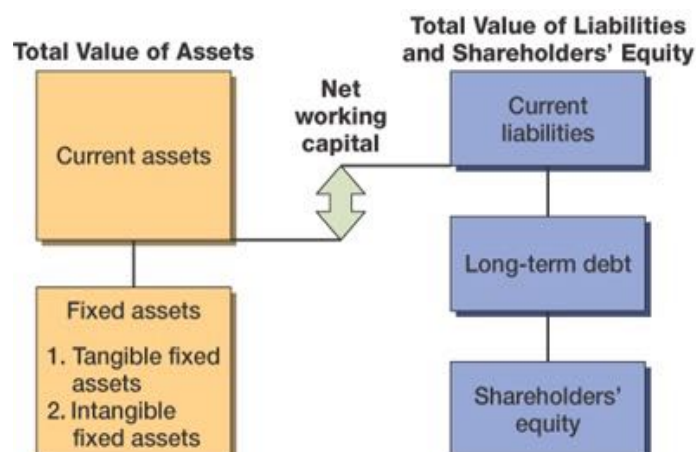
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The Balance Sheet



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Net Working Capital & Liquidity

- **Net Working Capital concept;**
 - Current Assets (–) Current Liabilities
 - Positive when the cash that will be received over the next 12 months exceeds the cash that will be paid out
 - **Usually positive in a healthy firm**
- **Liquidity measure;**
 - Ability to convert to cash quickly without a significant loss in value
 - Liquid firms are less likely to experience financial distress
 - **But liquid assets earn a lower return**
 - Trade-off to find balance between liquid and illiquid assets

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FINANCIAL STATEMENTS: The Income Statement

- **The most important report** for many analysts, investors or potential investors is the income statement.
- It shows how much the corporation **earned or lost during the year**. The income statement shows the record of a company's operating results for the whole year.

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The Income Statement (cont'd.)

Expenses	Revenue
- Consumptions : Raw material, manufactured goods, Administration expenses, salaries and wages	- Sales
- Interest expense	- Interest revenue

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Income Statement (under IAS 1)

The income statement shows the profit (or loss) for the period of time under consideration.

Revenues result from the entity's operating activities (e.g., selling merchandise).

Costs and expenses are incurred in generating revenues and operating the entity.

MAIN STREET STORE, INC. Income Statement For the Year Ended August 31, 2014	
Net sales.....	\$1,200,000
Cost of goods sold.....	850,000
Gross profit.....	\$ 350,000
Selling, general, and administrative expenses.....	311,000
Income from operations.....	\$ 39,000
Interest expense	9,000
Income before taxes	\$ 30,000
Income taxes	12,000
Net income.....	\$ 18,000
Earnings per share of common stock outstanding	\$ 1.80

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Income Statement Alternatives (before IFRS 18 Impacts)

Single-Step

Matrix, Inc. Income Statement For the Year Ended December 31, 20xx	
Revenues and gains:	
Sales, net	\$ 785,250
Interest income	62,187
Gain on sale of plant assets	24,600
Total revenues and gains	872,037
Expenses and losses:	
Cost of goods sold	\$ 351,800
Selling expenses	197,350
General and administrative exp.	78,500
Depreciation expense	17,500
Interest expense	27,000
Income tax expense	62,500
Loss on sale of investments	9,000
Total expenses and losses	743,650
Net income	\$ 128,387

Multiple-Step

Matrix, Inc. Income Statement For the Year Ended December 31, 20xx	
Sales, net	\$ 785,250
Cost of goods sold	351,800
Gross profit	433,450
Operating expenses:	
Selling expenses	\$ 197,350
General and administrative	78,500
Depreciation expense	17,500
Income from operations	140,100
Other revenues and gains:	
Interest income	62,187
Gain on sale of plant assets	24,600
Other revenues and gains	86,787
Other expenses and losses:	
Interest expense	27,000
Loss on sale of investments	9,000
Other expenses and losses	(36,000)
Income before taxes	190,887
Income tax expense	62,500
Net income	\$ 128,387

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The Income Statement: Analysis of Expenses – under IAS 1

- 'Nature of expenses' method
- 'Function of expenses' method

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The Income Statement

“by Nature of Expenses”

Sales
- Cost of sales
= **Gross profit (gross margin)**
Less Operating expenses
Wages and salaries
Other operating expenses (insurance, utilities...)
= **Operating profit**
- Interest payable
= **Profit before tax**
- Income tax
= **Net Income or Profit after tax**

Expenses by Nature Method

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The Income Statement

“by Function of Expenses”

Sales
- Cost of sales
= **Gross profit (gross margin)**
Less Operating expenses
Marketing and selling expenses
Administration expenses
Other expenses
= **Operating profit**
- Interest payable
= **Profit before tax**
- Income tax
= **Net Income or Profit after tax**

Expenses by Function Method

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Re-Shaping The Income Statement (IFRS 18 Standard)

- At investors' requests, re-shaping financial statement presentation:
 - More structure and transparency,
 - **More direct comparability**,
 - More alignment in how particular financial measures are treated,
- *General Presentation and Disclosures* focuses on the structure of the income statement,
 - Creation of three (3) new profit subtotals,
 - Allocation of income and expenses between four (4) major categories,
 - Analysis of operating expenses on the face of the income statement,
- **Final goal: replace IAS 1 *Presentation of Financial Statements*.**

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Income Statement Structure (Under IFRS 18)

- The standard introduces 3 new defined subtotals entities are required to present:
 - Operating profit or loss,
 - Operating profit or loss and income and expenses from **integrated associates and joint ventures**, and
 - Profit or loss before financing and income tax,
- Entities need to allocate their income and expenses (other those related to discontinued operations) between 4 major categories.

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Statement of Profit or Loss

For the year ended 31 December 2027

IFRS 18 – Effective for annual periods beginning on or after 1 January 2027		IAS 1 – Pre-IFRS 18 Presentation (Legacy presentation)	
1 OPERATING		Revenue	
	Revenue		250,000
	Cost of goods sold		(150,000)
	Gross profit		100,000
	Selling and distribution expenses		(20,000)
	Administrative expenses		(15,000)
	Research and development expenses		(5,000)
	Other operating income		3,000
	Other operating expenses		(2,500)
	Operating profit		60,500
2 INVESTING		Gross profit	
	Share of profit from associates		2,500
	Dividend income		700
	Interest income (investments)		1,200
	Gain on disposal of investments		900
	Loss on disposal of investments		(400)
	Profit before financing and income taxes		65,400
FINANCING		Profit before income taxes	
	Interest expense (on loans)		(6,000)
	Interest expense (on lease liabilities)		(1,000)
	Other financing costs		(400)
	Profit before income taxes		58,000
INCOME TAXES		Income tax expense	
	Income tax expense		(12,000)
	Profit from continuing operations		46,000
DISCONTINUED OPERATIONS		Loss from discontinued operations	
	Loss from discontinued operations		(1,000)
	Profit		45,000

Same profit or loss. Different presentation.

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Example of a Generic Income Statement Under IFRS 18

By Function (Corporate)	Amount (£m)		By Nature (Corporate)	Amount (£m)
Revenue	500	Operating	Revenue	500
Cost of Sales	-300		Raw Materials & Supplies	-200
Gross Profit (Optional Subtotal)	200		Salaries and Wages	-100
Selling, General & Admin Expenses	-80		Depreciation	-50
			Utilities, Marketing and other costs	-30
Operating Profit	120		Operating Profit	120
Investing Income	10	Investing	Investing Income	10
Profit Before Financing & Income Tax	130		Profit Before Financing & Income Tax	130
Financing Costs	-20	Financing	Financing Costs	-20
Profit Before Income Tax	110		Profit Before Income Tax	110
Income Tax Expense	-30	Income Tax	Income Tax Expense	-30
Profit from Continuing Operations	80		Profit from Continuing Operations	80
Discontinued Operations (if any)	–	Discontinued Operations	Discontinued Operations (if any)	–
Profit for the year	80		Profit for the year	80

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FINANCIAL STATEMENTS: Statement of Changes in Equity

- The statement of changes in [shareholders'] equity reconciles the activity in the **equity section** of the balance sheet from period to period.....
- and, details changes in shareholders' equity result for company profits or losses, dividends and/or stock issuances.

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FINANCIAL STATEMENTS: Statement of Changes in Equity

- Beginning equity + Changes in equity = Ending equity
- Basic components of owners' equity are paid-in capital and retained earnings.
 - Beginning common stock + Issuances – Repurchases = Ending common stock
 - Beginning retained earnings + Net Income – Dividends = Ending retained earnings
 - Beginning AOCI + OCI = Ending AOCI
- AOCI = accumulated other comprehensive income, and OCI = other comprehensive income for the period.

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Equity Capital: Key Functions

- A long-term source of funds **to finance start-up costs** and **expansion**;
- It serves as a cushion to absorb unexpected operating losses;
- Must be adequate to assure the safety and soundness of the company.

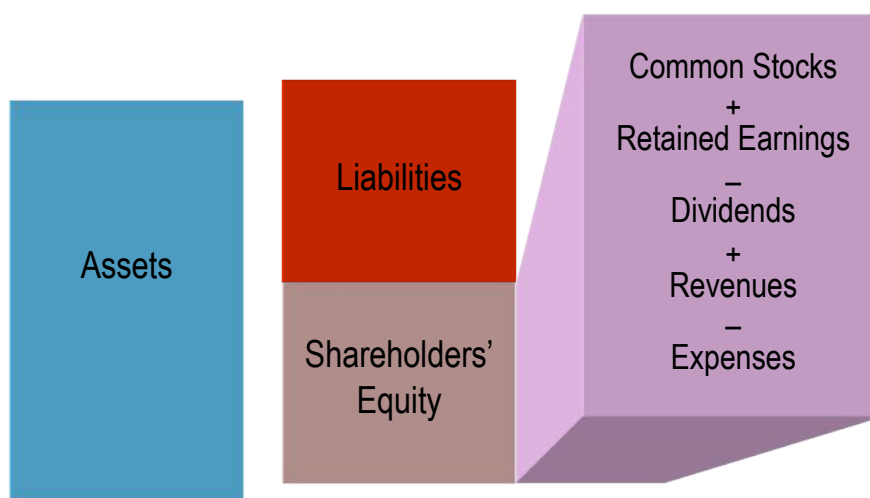
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Balance Sheet & Shareholders' Equity



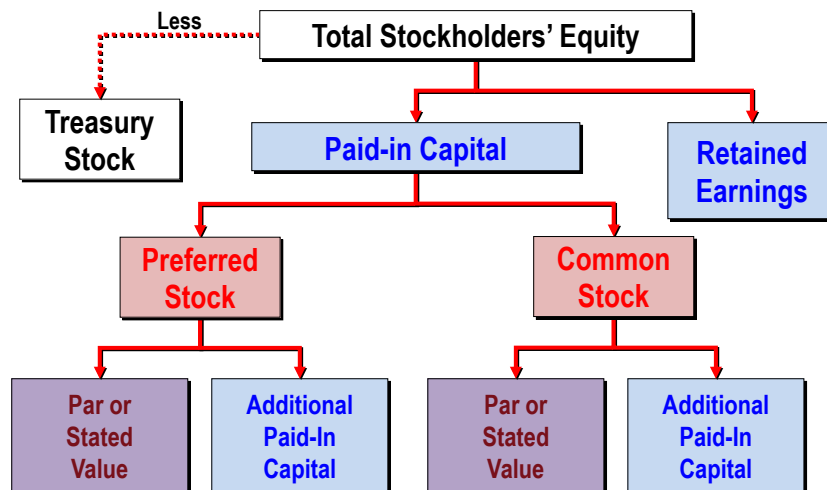
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Nature of Owners' Equity



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Statement of Changes in Stockholders' Equity

MAIN STREET STORE, INC. Statement of Changes in Stockholders' Equity For the Year Ended August 31, 2014	
Paid-In Capital:	
Beginning balance	\$ --0--
Common stock, par value, \$10; 50,000 shares authorized 10,000 shares issued and outstanding	100,000
Additional paid-in capital	90,000
Balance, August 31, 2014	<u>\$190,000</u>
Retained Earnings:	
Beginning balance	\$ --0--
Net income for the year	18,000
Less: Cash dividends of \$.50 per share	(5,000)
Balance, August 31, 2014	<u>\$ 13,000</u>
Total stockholders' equity	<u><u>\$203,000</u></u>

This financial statement shows the detail of stockholders' equity and explains the changes that occurred in the components of stockholders' equity during the year.

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FINANCIAL STATEMENTS:

Statement of Cash Flows

- The statement of cash flows reports on the **company's cash movements** during the period(s) separating them by operating, investing and financing activities.
- Provides crucial information to decision makers to help predict future cash flows of the business;
- Shows how the business **acquired** its cash during the current year;
- Shows how the business **spent** its cash during the current year.

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FINANCIAL STATEMENTS:

Statement of Cash Flows

The Statement of Cash Flows is divided into three categories:

1. Operating

Cash related to the day-to-day activities

2. Investing

Cash related to buying and selling firm assets to be used longer than one year

3. Financing

Cash receipts and disbursements related to loans (principal), cash contributions from and distributions to owners

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Statement of Cash Flows

The purpose of this financial statement is to identify the sources and uses of cash during the year.

MAIN STREET STORE, INC. Statement of Cash Flows For the Year Ended August 31, 2014	
Cash Flows from Operating Activities:	
Net income	\$ 18,000
Add (deduct) items not affecting cash:	
Depreciation expense	4,000
Increase in accounts receivable	(80,000)
Increase in merchandise inventory	(170,000)
Increase in current liabilities	67,000
Net cash used by operating activities	<u>\$ (161,000)</u>
Cash Flows from Investing Activities:	
Cash paid for equipment	<u>\$ (40,000)</u>
Cash Flows from Financing Activities:	
Cash received from issue of long-term debt	\$ 50,000
Cash received from sale of common stock	190,000
Payment of cash dividend on common stock	(5,000)
Net cash provided by financing activities	<u>\$ 235,000</u>
Net increase in cash for the year	<u>\$ 34,000</u>

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Analyzing the Statement of Cash Flows

The face of the statement includes:

Net Cash Flows from Operating Activities

+Net Cash Flows from Investing Activities

+Net Cash Flows from Financing Activities

Net Cash Flows for the period

+ Beginning Cash Balance

End of period Cash Balance



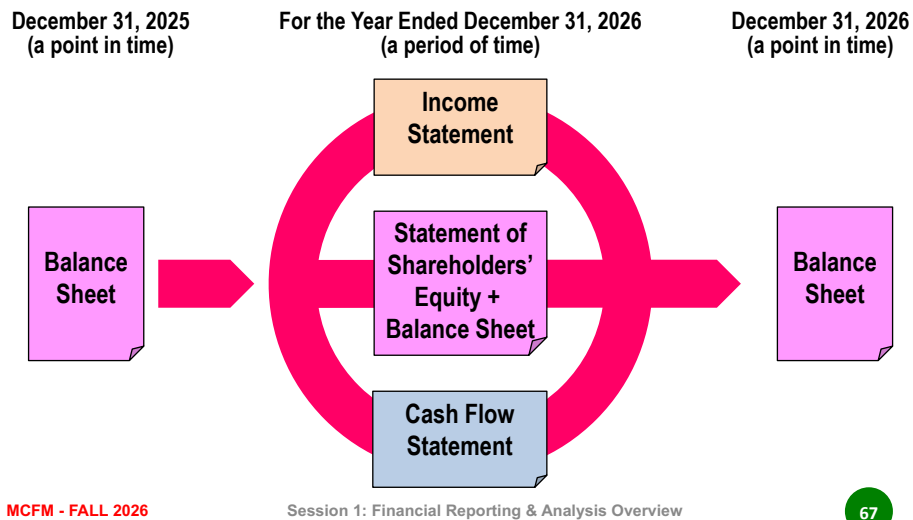
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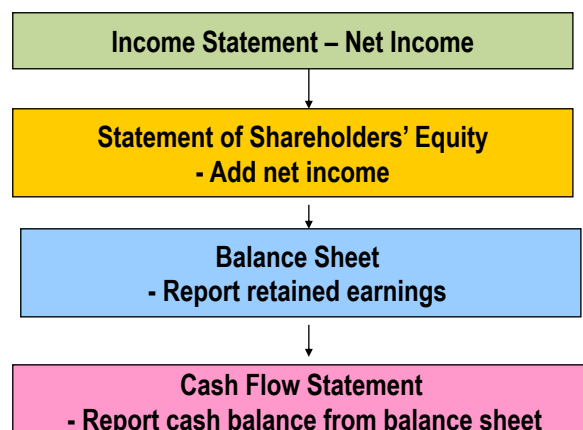
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Timing of the Financial Statements



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Relationships Among the Financial Statements



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Information Reported on the Financial Statements

<i>Question</i>	<i>Answer</i>	<i>Financial Statement</i>
1. How well did the company perform (or operate) during the period?	$\begin{array}{r} \text{Revenues} \\ - \text{Expenses} \\ \hline \text{Net income (Net loss)} \end{array}$	Income statement
2. Why did the company's retained earnings change during the period?	$\begin{array}{r} \text{Beginning Retained Earnings} \\ + \text{Net income (or - Net loss)} \\ - \text{Dividends} \\ \hline = \text{Ending R.E.} \end{array}$	Statement of Shareholders' equity

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Information Reported on the Financial Statements

<i>Question</i>	<i>Answer</i>	<i>Financial Statement</i>
3. What is the company's financial position at the end of the period?	$\begin{array}{r} \text{Assets} \\ = \text{Liabilities} \\ + \text{Shareholders' equity} \end{array}$	Balance sheet
4. How much cash did the company generate and spend during the period?	$\begin{array}{r} \text{Operating cash flows} \\ \pm \text{Investing cash flows} \\ \pm \text{Financing cash flows} \\ \hline \text{Increase or decrease in cash} \end{array}$	Cash flow statement

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Notes to the Financial Statements

Summary of Significant Accounting Policies

Typical accounting policies that are disclosed in the notes to the financial statements include:

1. Depreciation method used.
2. Inventory valuation method used.
3. Basis of consolidation of subsidiaries.
4. Reconciliation of taxes paid to tax expense.
5. The cost of employee benefit plans.
6. **Treatment of goodwill and intangible assets.**
7. Earnings per share information (IAS 33)
8. **Segment information (IFRS 8)**
9. Stock option and stock purchase plans.



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Earnings Per Share (IAS 33)

An explanation of the calculation of EPS may include the details of the computation of weighted-average number of common shares outstanding and the adjustments made to net income for preferred stock, stock options, and convertible securities.



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Segment Information (IFRS 8)

Most large corporations operate in several lines of business and operate in many geographical areas.

Segment information should include:

1. Sales to unaffiliated customers,
2. Operating profit,
3. Capital expenditures,
4. Depreciation expense,
5. Identifiable assets.



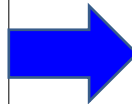
Additional Disclosures and Audit Reports, Footnotes

- The financial statements prepared by management are management's responsibility and follow generally accepted accounting principles.
- As a result, when the annual report contains financial statements accompanied by an unqualified (often referred to as "clean") opinion from independent auditors, there is added assurance that the figures can be relied upon as being fairly presented.

Financial Reporting vs. Financial Analysis: Similarities & Differences

Financial Reporting

- Providing financial information about an entity to enable users to make decisions
- Financial information includes financial statements and other types of reports



Financial Statement Analysis

- Using financial information to assess prior performance and likely future performance to make decisions
- Typical decisions: capital allocation or investment acquisition

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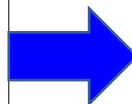
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Financial Reporting vs. Financial Analysis (2): Similarities & Differences

Financial Reporting using:

- Local GAAP
- IFRS – Separate entity
- IFRS (or USGAAP) – Consolidated financial statements



Financial Analysis Tools:

- Trend analysis
- Ratios analysis
- Quality of earnings
- Contribution analysis
- Business valuations

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Common Financial Ratios (summary)

I. Short-Term Solvency or Liquidity Ratios

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

$$\text{Quick ratio} = \frac{\text{Current assets} - \text{Inventory}}{\text{Current liabilities}}$$

$$\text{Cash ratio} = \frac{\text{Cash}}{\text{Current liabilities}}$$

$$\text{Net working capital} = \frac{\text{Net working capital}}{\text{Total assets}}$$

$$\text{Interval measure} = \frac{\text{Current assets}}{\text{Average daily operating costs}}$$

II. Long-Term Solvency or Financial Leverage Ratios

$$\text{Total debt ratio} = \frac{\text{Total assets} - \text{Total equity}}{\text{Total assets}}$$

$$\text{Debt/equity ratio} = \frac{\text{Total debt}}{\text{Total equity}}$$

$$\text{Equity multiplier} = \frac{\text{Total assets}}{\text{Total equity}}$$

$$\text{Long-term debt ratio} = \frac{\text{Long-term debt}}{\text{Long-term debt} + \text{Total equity}}$$

$$\text{Times interest earned} = \frac{\text{EBIT}}{\text{Interest}}$$

$$\text{Cash coverage ratio} = \frac{\text{EBIT} + \text{Depreciation}}{\text{Interest}}$$

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Common Financial Ratios (summary)

III. Asset Utilization Turnover Ratios

$$\text{Inventory turnover} = \frac{\text{Cost of goods sold}}{\text{Inventory}}$$

$$\text{Days' sales in inventory} = \frac{365 \text{ days}}{\text{Inventory turnover}}$$

$$\text{Receivables turnover} = \frac{\text{Sales}}{\text{Accounts receivable}}$$

$$\text{Days' sales in receivables} = \frac{365 \text{ days}}{\text{Receivables turnover}}$$

$$\text{NWC turnover} = \frac{\text{Sales}}{\text{NWC}}$$

$$\text{Fixed asset turnover} = \frac{\text{Sales}}{\text{Net fixed assets}}$$

$$\text{Total asset turnover} = \frac{\text{Sales}}{\text{Total assets}}$$

IV. Profitability Ratios

$$\text{Profit margin} = \frac{\text{Net income}}{\text{Sales}}$$

$$\text{Return on assets (ROA)} = \frac{\text{Net income}}{\text{Total assets}}$$

$$\text{Return on equity (ROE)} = \frac{\text{Net income}}{\text{Total equity}}$$

$$\text{ROE} = \frac{\text{Net income}}{\text{Sales}} \times \frac{\text{Sales}}{\text{Assets}} \times \frac{\text{Assets}}{\text{Equity}}$$

V. Market Value Ratios

$$\text{Price-earning ratio} = \frac{\text{Price per share}}{\text{Earnings per share}}$$

$$\text{Market-to-book ratio} = \frac{\text{Market value per share}}{\text{Book value per share}}$$

$$\text{EV/EBITDA} = \frac{[\text{Market value of equity} + \text{Market value of interest-bearing debt} + \text{Minority interest} - \text{Cash (and cash equivalent)}]}{\text{EBITDA}}$$

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Part 5

Screening the Income Statement & Notes to Financial Statements (IAS 1 – Replaced by IFRS 18)

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Presentation & Disclosures (Effective Date and Transition)

- Initial effective date set on January 2024, confirmed for January 2027,
- Retrospectively & early application would be permitted,
- If it is the case, management decision would be disclosed in the notes to the financial statement.

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Presentation & Disclosures (Main Areas of Focus)

1. Introduction of defined subtotals and categories in the statement of profit or loss,
2. Introduction of requirements to improve aggregation and disaggregation,
3. Introduction of disclosures about Management-defined Performance Measures (MPMs) in the notes to the financial statements,
4. Targeted improvements to the statement of cash flows by amending IAS 7 Statement of Cash Flows.

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Income Statement Structure

- The standard introduces 3 new defined subtotals entities are required to present:
 - Operating profit or loss,
 - Operating profit or loss and income and expenses from **integrated associates and joint ventures**, and
 - Profit or loss before financing and income tax,
- Entities need to allocate their income and expenses (other those related to discontinued operations) between 4 major categories.

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Income Statement Structure (Cont'd)

Example income statement	
	20XX
Revenue	X
Operating expenses (analysed by nature or by function as appropriate)	(X)
Operating profit	X
Share of profit or loss of integral associates and joint ventures	X
Operating profit and income and expenses from integral associates and joint ventures	X
Share of profit or loss of non-integral associates and joint ventures	X
Income from investments	X
Profit before financing and income tax	X
Interest revenue from cash and cash equivalents	X
Expenses from financing activities	(X)
Unwinding of discount on pension liabilities	(X)
Profit before tax	X
Income tax	X
Profit for the year from continuing operations	X
Profit for the year from discontinued operations	X
Profit for the year	X

Proposed category

Operating

Integral associates and joint ventures

Investing

Financing

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Income Statement Structure (Banks)

Example income statement	
	20XX
Interest revenue calculated using the effective interest method	X
Interest expense	(X)
Net interest income	X
Fee and commission income	X
Fee and commission expense	(X)
Net fee and commission income	X
Net trading income	X
Net investment income	X
Credit impairment losses	(X)
Employee benefits	(X)
Depreciation	(X)
Amortisation	(X)
Other operating expenses	(X)
Operating profit	X
Share of profit or loss of integral associates and joint ventures	X
Operating profit and income and expenses from integral associates and joint ventures	X
Share of profit or loss of non-integral associates and joint ventures	X
Profit before financing and income tax	X
Unwinding of discount on pension liabilities	X
Profit before tax	X
Income tax	(X)
Profit for the year	X

Proposed category

Operating

Integral associates and joint ventures

Investing

Financing

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Management-defined Performance Measures (MPMs)

MPMs are defined as subtotals of income and expenses that:

- Are used in **public communications** with users of financial statements outside the financial statements,
- Are **complement totals** or subtotals included in IFRSs, and
- Are used to **communicate management's view** of an aspect of an entity's financial performance.

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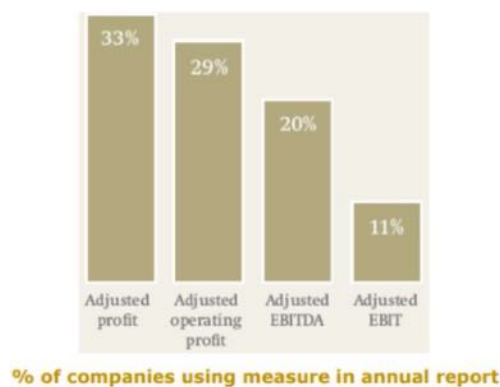
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MPMs - Management-defined Performance Measures (cont'd)

The IASB analyzed the 2017-18 annual reports of 100 listed companies applying IFRS Accounting Standards from 26 jurisdictions and 12 industries:



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MPMs - Management-defined Performance Measures (cont'd)

Accompanying disclosures are required to be provided in a single note including:

- Definition and why it's useful,
- Reconciliation to nearest IFRS subtotal,
- Consistency of calculation,
- Tax & non-controlling interest (NCI) effects,
- Clear labelling – avoid confusion with IFRS figures.

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Part 6

Evolution of Financial Reporting – under IFRS (IFRS 19 – Subsidiaries without Public Accountability Disclosures)

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IFRS 19 – Objectives / Scope

- When their parent applies IFRS Accounting Standards, **subsidiaries must apply the recognition and measurement requirements** in IFRS Accounting Standards when reporting to their parent for consolidation purposes,
- This creates difficult circumstances for entities that qualify to apply IFRS for Small and Medium-Sized Entities (SMEs) for their standalone reporting. The recognition and measurement requirements differ to those of full IFRS.
- **An entity is only permitted to apply IFRS 19 when:**
 - it is a subsidiary, but
 - it does not have public accountability, and
 - its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS Accounting Standards.

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IFRS 19 vs. Public Accountability

- A subsidiary has public accountability if:
 - its debt or equity instruments are traded in a public market or it is in the process of issuing such instruments for trading in a public market, or
 - it holds assets in a fiduciary capacity for a broad group of outsiders as one of its primary business activities.
- The disclosure requirements in IFRS 19 are a reduced version of the disclosure requirements set out in other IFRS Accounting Standards. **IFRS 19 is a disclosure-only standard.**

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Practical Eligibility to IFRS 19

- The following standards do not have reduced disclosure requirements under IFRS 19 and the disclosures set out in each standard still apply:
 - IAS 33 'Earnings per Share',
 - IFRS 8 'Operating Segments',
 - IFRS 17 'Insurance Contracts'.
- However, subsidiaries that are eligible to apply IFRS 19 are not required to apply IAS 33 or IFRS 8 but may do so voluntarily. If either are applied, the full disclosures required by IAS 33 or IFRS 8 will apply.

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Part 7 **Beyond Financial Reporting & Analysis** **The Sustainability Standards –** **IFRS S1 & IFRS S2**

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General Purposes of Financial Reporting

IFRS Standards within the broader reporting landscape



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Sustainability Related Disclosures Standards

Designed for communication to investors



*GAAP-agnostic but developed to ensure compatibility with IFRS Accounting Standards

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Sustainability Related Disclosures Standards

- **IFRS** Sustainability Disclosure Standard S1 - General Requirements for Disclosure of Sustainability-Related Financial Information,
- **IFRS** Sustainability Disclosure Standard S2 – Climate Related Disclosures,
- These Standards are to apply to for-profit and public sector entities for annual reporting periods commencing after 1 January 2024
- **Further readings attached: Latham & Watkins Client Alert Commentary**

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IFRS S1 – Core Contents

Unless another IFRS Sustainability Disclosure Standard permits or requires otherwise in specified circumstances, an entity shall provide disclosures about:

- **Governance** - the governance processes, controls and procedures the entity uses to monitor and manage sustainability-related risks and opportunities;
- **Strategy** - the approach the entity uses to manage sustainability related risks and opportunities;
- **Risk management** - the processes the entity uses to identify, assess, prioritize and monitor sustainability-related risks and opportunities; and
- **Metrics and targets** - the entity's performance in relation to sustainability-related risks and opportunities, including progress towards any targets the entity has set or is required to meet by law or regulation.

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IFRS S2 – Core Content

1. The objective of IFRS S2 Climate-related Disclosures is to require an entity to disclose information about its **exposure to significant climate related risks** and opportunities, enabling users of an entity's general purpose financial reporting:
 - to assess the effects of significant climate-related risks and opportunities on the entity's enterprise value;
 - to understand how the entity's use of resources, and corresponding inputs, activities, outputs and outcomes support the entity's response to and strategy for managing its significant climate-related risks and opportunities; and
 - to evaluate the entity's ability to adapt its planning, business model and operations to significant climate-related risks and opportunities.
2. An entity shall apply this Standard in preparing and disclosing climate related disclosures in accordance with IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information.

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Convergence between IFRS-S & EU-CSRSD?

- ESRS to take account of international reporting standards (ISSB and others) "to the maximum extent possible."
- CSRSD: EU standards will integrate all ISSB disclosure requirements, provided they are consistent with our legal framework and with the ambitions of the European Green Deal.
- ESRS are more comprehensive: ISSB is only addressing climate but and only from the perspective of risks to the company.
- Following bilateral discussions between EFRAG/Commission and ISSB interoperability Guidance released in May 2024.

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Interoperability: IFRS-S & ECSR-D

- The **Guidance 2024** explains how companies can comply with both sets of standards, with a specific focus on climate-related reporting.
- Importantly, the Guidance is not intended to be a formal statement of equivalence.
- The goal of the guidance is to increase efficiency for entities that report under ESRS and the ISSB Standards by describing how the standards are interoperable.

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The EU Sustainability Omnibus Directive

Issue	Original position	Revised position
Scope for EU companies and groups	Companies that met two of the following three thresholds (when consolidated with any subsidiaries): • Employees: 250 • Net turnover: €50 million • Balance sheet size: €25 million	Companies that meet both of the following thresholds (when consolidated with any relevant subsidiaries): • Employees: 1,000 • Net turnover: €450 million
Scope of global group (Article 40a) reporting	Non-EU headquartered groups with: • a large EU subsidiary or branch that generated over €40 million net turnover; and • net turnover of more than €150 million in the Union.	Non-EU headquartered groups with: • an EU subsidiary or branch that generated over €200 million net turnover; and • net turnover of more than €450 million in the Union.

Source: Latham & Watkins LLP

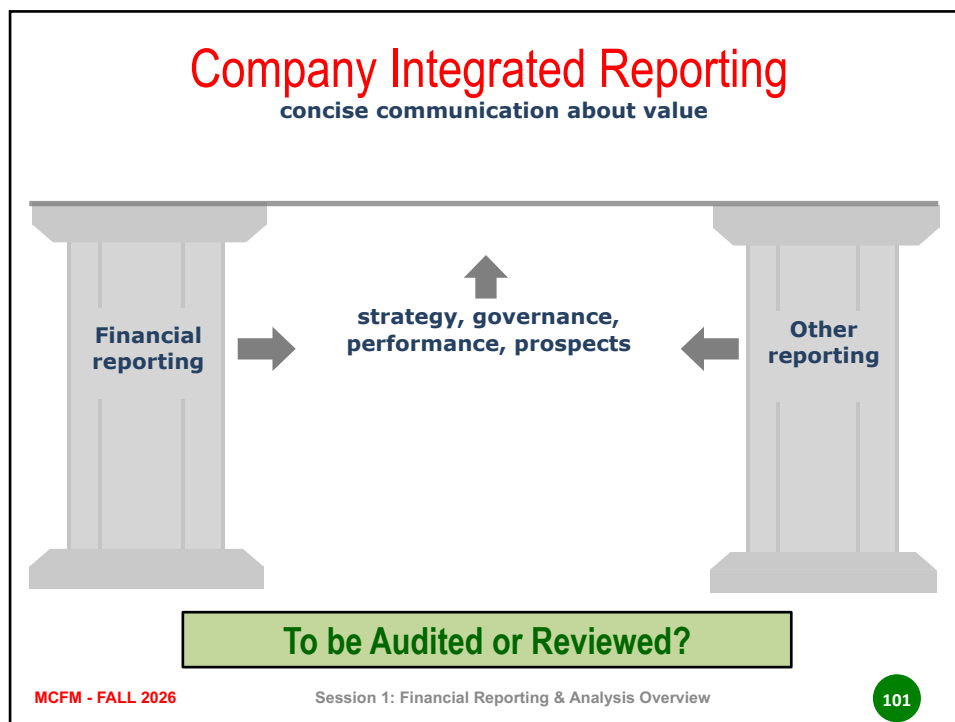
EU companies meeting the new thresholds will be required to report for FYs starting on or after 1 January 2027, with the first reports due in 2028.

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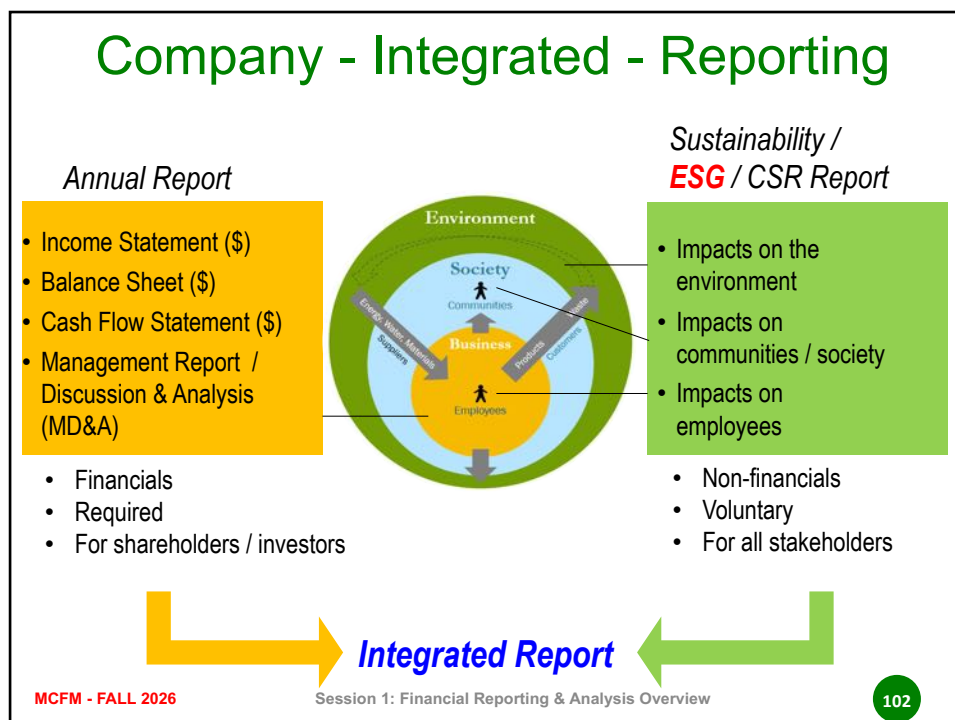
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Financial Requirements & Sustainability-related Disclosures Standards

- For further explanations, refer on K2 to:

Latham & Watkins, ***Financial Statement Requirements in US Securities Offerings – What Non-US Issuers Need to Know***, January 2024 | in Association with KPMG LLP.

Latham & Watkins, ***EU Sustainability: State of Play — The Conclusion of the Sustainability Omnibus Process***, April 2026.

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Any Questions?



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Exercise 1: Financial statements fundamentals (I)

Exercise 1.1: Share capital

In 2021, Bijoux, Inc. sold 35,000 shares of the 1,500,000 shares of \$1 par value common stock it is allowed to sell. The shares sold for \$8 each. Bijoux bought back 4,000 shares of its stock at a cost of \$6 each. Bijoux declared and paid a \$0.20 per share dividend to its common shareholders. Bijoux has no preferred stock.

1.	The number of shares of common stock authorized is:	shares
2.	The number of shares of common stock issued is:	shares
3.	The number of shares of common stock outstanding is:	shares
4.	Total dividends paid for the year ended December 31, 2021 is:	\$
5.	Common stock balance at December 31, 2021 is:	\$
6.	Additional paid-in capital balance at December 31, 2021 is:	\$
7.	Treasury stock balance at December 31, 2021 is:	\$

Exercise 1.2: Stocks and dividends payment

Match each of the following items with its appropriate definition. Each item should be used only once.

- a. noncumulative preferred stock
- b. dividends
- c. payment date
- d. declaration date
- e. preferred stock
- f. cash dividends
- g. date of record
- h. cumulative preferred stock
- i. dividends in arrears
- j. treasury stock

- _____ 1. Type of corporate stock that has preference rights over common stock
- _____ 2. Corporate distribution of earnings to the shareholders of the corporation
- _____ 3. A distribution of earnings in the form of cash to the shareholders of a corporation
- _____ 4. Date when the board of directors of a corporation authorizes the payment of dividends to the shareholders of the corporation
- _____ 5. Date used to determine which shareholders should receive dividends; anyone owning stock on this date is entitled to receive dividends
- _____ 6. Stock of a corporation that has been issued and has been repurchased by the issuing corporation.
- _____ 7. Date when cash dividends are actually paid to shareholders of a corporation.
- _____ 8. Stock on which the fixed dividend amount accumulates from year to year; the entire amount of all past unpaid dividends must be paid to the preferred shareholders before any dividends can be paid to the common shareholders
- _____ 9. Any dividends owed to the preferred shareholders from past years, but were not declared and are currently unpaid
- _____ 10. Preferred stock that is not entitled to receive past, unpaid dividends

Exercise 1.3. Net Assets vs. Equity

- 1.3. At the beginning of the current fiscal year, ELIQUA Co.'s balance sheet showed assets of \$814,500 and liabilities of \$356,000. During the year, liabilities increased by \$53,800. Net income for the year was \$210,900, and net assets at the end of the year were \$585,400. There were no changes in paid-in capital during the year.

- Calculate the dividends, if any, declared during the year.
- Calculate the total assets at the end of the year.

	Assets	=	Liabilities	+	Stockholders' Equity
Beginning.....	\$	=		+	
Changes		=		+	
Ending	\$	=		+	

- 1.4. For each item, indicate the impact of that transaction on assets, liabilities, and equity. Assume that all transactions, unless stated otherwise, are in cash.

	Transaction	Assets (increase + or decrease -)	=	Liabilities (increase + or decrease -)	+	Equity (increase + or decrease -)
1.	Received \$50,000 cash and issued share to the owners					
2.	Paid \$40,000 cash for land					
3.	Bought \$3,700 of supplies on account					
4.	Received \$7,000 cash from customers for service revenue earned					
5.	Performed services for customers on account, \$3,000					
6.	Paid cash expenses: rent, \$1,100; employee salary, \$1,200; utilities, \$400					
7.	Paid \$1,900 on the account payable created in transaction 3					
8.	Major shareholder paid personal funds to remodel home, not a business transaction					
9.	Received \$1,000 on account					

10.	Sold land for cash at the land's cost of \$22,000				
11.	Declared and paid a dividend of \$2,100 to the stockholders				

Exercise 1.5. Financial Statements Preparation

Mr. Wizard's Magic Shoppe had the following condensed balance sheet at the end of operation for 2025:

Mr. Wizard's Magic Shoppe
Balance Sheet
December 31, 2025

Cash	\$40,000	Current Liabilities	\$35,000
Other current assets	60,000	Long-term Notes Payable	40,000
Total current assets	\$100,000	Bonds Payable	50,000
Investments	\$25,000	Capital Stock	150,000
Fixed assets (net)	110,000	Retained earnings	80,000
Land	\$120,000		
Total assets	\$355,000	Total Liabilities and Equity	\$355,000

During 2026, the following occurred:

- Mr. Wizard's sold some of its investments for \$13,000 which resulted in a gain of \$300 after taxes. The gain (net of taxes) has been included in the company's 2026 net income.
- Additional land for a plant expansion was purchased for \$25,000.
- Bonds payable were paid in the amount of \$10,000.
- An additional \$35,000 in capital stock was issued.
- Dividends of \$15,000 were paid to stockholders.
- Net income for 2026 was \$48,000 after allowing for \$15,000 in depreciation.
- A second parcel of land was purchased through the issuance of \$10,000 in bonds, and \$5,000 in long-term notes payable.

Required:

- Prepare a statement of cash flows for the year ended 12/31/2026.
(check figure: ending cash balance = \$100,700)
- Prepare a condensed balance sheet for Mr. Wizard's at December 31, 2026.

Exercise 2: Financial statements fundamentals (II)

Exercise 2.1: Net income determination – Earnings per share

- 2.1. Net sales were \$150,000 and cost of goods sold was \$70,000. Dividends declared and paid were \$30,000, which equalled \$1.50 per share. The bookkeeper said that interest expense was \$7,000 but that he didn't know how much the other types of expenses were. Retained Earnings increased by \$10,000 during the year as a result of all of the firm's transactions. The firm's tax rate was 20%.

Using this information, complete the income statement shown below:

Net Sales	\$_____
Cost of Goods Sold	
Gross Profit.....	\$_____
 Selling, General and Administrative Expenses.....	
Income from Operations	\$_____
Interest Expense.....	
Income before Taxes...	\$_____
Income Taxes Expense	
Net Income	\$_____
Earnings Per Share of Common Stock	\$_____

Exercise 2.2.: Cash-flows statements analysis

English Corporation had the following transactions:

	<u>Cash Effect</u>	<u>Classification</u>
1. Issued common shares for \$50,000		
2. Purchased a machine for \$30,000. Made a \$5,000 down payment & issued a long-term note payable for the remainder,		
3. Collected \$16,000 of accounts receivable,		
4. Paid a \$25,000 cash dividend,		
5. Sold a long-term investment with carrying amount of \$15,000 for \$18,000		
6. Sold inventory for \$1,000		
7. Paid \$18,000 on accounts payable,		
8. Purchased a held for trading investment (equity securities) for \$100,000		
9. Purchased inventory for \$28,000 on account,		
10. Collected \$1,000 in advance from customers,		
11. Paid \$25,000 to reacquire and retire common shares.		

Required:

- In the above table, indicate by how much each transaction increase (+) or decreases (-) cash. If the transaction has no effect (NE) on cash, say so.
- Identify whether the transaction should be classified as an operating activity (O), investing activity (I), financing activity (F), or a noncash investing and financing activity (NC).

Exercise 2.3.: Net income vs. Cash-flows analysis

French Corporation had the following transactions:

	<u>Net Income</u>	<u>Cash provided (used) by Operating Activity</u>
1. Sold inventory for cash at a higher price than its cost,	+	+
2. Collected cash in advance from a customer for a service to be provided in the future,		
3. Purchased inventory on account in a perpetual inventory system,		
4. Declared and paid dividends,		
5. Recorded and paid salaries,		
6. Recorded income tax payable,		
7. Accrued interest receivable,		
8. Recorded depreciation expense,		
9. Paid an amount owing on account to a supplier,		
10. Collected an amount from a customer.		

Required:

Complete the above table, indicating whether each transaction will increase (+), decrease (-), or have no effect (NE) on (a) net income and (b) cash provided (or used) by operating activities. The first one has been done as an example.

Exercise 3: Financial Reporting Clinics

Put an X in the appropriate box to indicate the financial statement(s) where the following line items would appear. **Some items may appear on more than one statement.**

		Income Statement	Shareholders Equity	Statement of Cash Flows	Balance Sheet
1.	Supplies				
2.	Supplies expense				
3.	Cash paid for supplies				
4.	Cash paid for salaries				
5.	Salaries payable				
6.	Salaries expense				
7.	Unearned service fees				
8.	Cash collected from customers				
9.	Service fees earned				
10.	Accounts receivable				
11.	Accumulated depreciation				
12.	Depreciation expense				
13.	Equipment (net)				
14.	Prepaid advertising				
15.	Advertising expense				
16.	Cash paid for advertising				
17.	Interest expense				
18.	Cash paid for interest				
19.	Interest payable				
20.	General & administrative expenses				
21.	Net earnings				
22.	Retained earnings				
23.	Income tax expense				
24.	Income taxes payable				
25.	Gross profit				

Exercise 4: Preparing & Analyzing Financial Statements

These items are taken from the financial statements of MBONG Corporation for the year ended December 31, 2018:

Retained earnings, January 1	\$221,000
Cash	11,900
Salaries payable	3,000
Utilities expense	2,000
Equipment	66,000
Accounts payable	15,000
Buildings	72,000
Common shares	34,200
Dividend declared	5,000
Service revenue	213,900
Prepaid insurance	2,000
Repair and maintenance expense	2,800
Land	156,000
Depreciation expense	6,200
Accounts receivable	14,200
Insurance expense	2,200
Salaries expense	129,800
Accumulated depreciation – equipment	17,600
Income tax expense	6,000
Supplies	200
Operating expense	39,400
Supplies expense	1,000
Bank loan payable, due 2021	15,000
Held for trading investments	20,000
Accumulated depreciation – Buildings	18,000
Interest expense	1,500
Interest revenue	500

Additional information:

- a. MBONG Corporation started the year with \$30,000 of common shares and issued \$4,200 more during the year.
- b. \$1,500 of bank loan payable is due to be repaid within the next year;

Instructions:

1. Prepare an income statement, statement of changes in equity, and statement of financial position for the year.
2. Explain how each financial statement is related to the others

IFRS 18 Explained: New Income Statement Requirements

By houseblend.io Published February 12, 2026 53 min read



IFRS 18: How the New Income Statement Standard Changes Your 2026 Reporting

Executive Summary

International Financial Reporting Standard 18 (IFRS 18), **Presentation and Disclosure in Financial Statements**, represents a fundamental overhaul of income statement presentation under IFRS. Adopted in April 2024 and effective 1 January 2027 (with earlier application permitted), IFRS 18 replaces IAS 1 and responds to investor concerns about inconsistent, non-comparable financial reporting (Source: www.ifrs.org) (Source: www.ifrs.org). The new standard mandates that all companies classify income and expenses into **five categories** – *Operating*, *Investing*, *Financing*, *Income Tax*, and *Discontinued Operations* – with the first three being newly defined. Crucially, it introduces **two mandatory profit subtotals** ('Operating profit or loss' and 'Profit or loss before financing and income taxes'), standardized expense presentation options (by nature, function, or mixed), strict rules on aggregation/disaggregation, and formalizes disclosure of "management-defined performance measures" (MPMs) within the audited financial statements (Source: www.ifrs.org) (Source: blog.pwc.lu).

This report examines the historical context and rationale for IFRS 18, details its comprehensive requirements, and analyzes the operational impacts on companies' 2026 reporting. We review how IFRS 18 improves transparency and comparability (as noted by the IASB and leading accounting firms) (Source: www.ifrs.org) (Source: www.ey.com), while also addressing the challenges it poses for systems, processes, and stakeholder communication. Key findings include:

- **Enhanced structure and comparability:** IFRS 18's defined income statement format reduces diversity in reporting. By requiring all entities to present '**Operating profit**' and consistent line-item categories, IFRS 18 provides investors with "consistent anchor points" for cross-company comparison (Source: www.ifrs.org) (Source: www.ey.com).
- **Inclusion of non-GAAP measures:** For the first time, select non-GAAP metrics (called MPMs) must be reconciled to IFRS totals within the financial statements. This increases auditability and investor understanding of items like EBITDA or adjusted profit (Source: kpmg.com) (Source: www.ey.com).

blog.pwc.lu).

- **Data and system readiness:** The new classification rules mean many companies must redesign their chart of accounts, upgrade IT systems, and modify internal controls to capture granular data (e.g. foreign exchange allocated by category) (Source: [kpmg.com](https://www.kpmg.com)) (Source: www.ey.com). For December-year companies, these changes must be in place by 1 January 2026 so that comparative 2026 figures can be produced under the new scheme (Source: [kpmg.com](https://www.kpmg.com)) (Source: www.accountancyireland.ie).
- **Stakeholder alignment:** Companies need to educate management, auditors, and investors on how IFRS 18 will alter performance metrics. For example, entities that finance customers (e.g. banks or captive finance arms) will report interest income in the **Operating** category by default (Source: www.deloitte.com) (Source: blog.pwc.lu). All such nuances require clear communication to avoid misinterpretation.
- **Broader implications:** Beyond the financial statements, IFRS 18 may impact covenants, bonus plans, and strategic reporting. Companies linked their goals to subtotals like “operating profit” must reassess those arrangements, as IFRS 18 defines “operating profit” strictly by its category rules (Source: [kpmg.com](https://www.kpmg.com)).

In sum, IFRS 18 is a sweeping change that will reshape how financial performance is reported (often described as “the most significant change in over 20 years” (Source: www.ifrs.org) (Source: www.deloitte.com). This report provides a detailed walkthrough of IFRS 18’s provisions, industry and jurisdictional perspectives, practical implementation considerations, and the implications for financial reporting in 2026 and beyond.

Introduction and Background

The Need for Change in Financial Reporting

Since the introduction of IFRS Standards, the **presentation of the income statement** under IAS 1 was largely flexible. While this allowed companies to report in ways that reflected their business, it also led to a proliferation of formats and non-IFRS measures (“alternative performance measures”) that made comparability difficult (Source: www.journalofaccountancy.com) (Source: blog.pwc.lu). Investors and analysts have long complained about the **inconsistency** of profit and loss statements, describing efforts to compare diverse formats as akin to “comparing different mountains” (Source: blog.pwc.lu). Moreover, management-defined subtotals (like “adjusted EBITDA” or “underlying profit”) often appeared only in management commentary or the MD&A, outside the audited statements, raising concerns about transparency (Source: www.journalofaccountancy.com) (Source: blog.pwc.lu).

In response, the International Accounting Standards Board (IASB) launched the *Primary Financial Statements* project, culminating in IFRS 18. The goal was succinct: **improve transparency, comparability and decision-usefulness** of the P&L and cash flow statements (Source: www.ifrs.org) (Source: www.deloitte.com). As IASB Chair Andreas Barckow noted, IFRS 18 “represents the most significant change to companies’ presentation of financial performance since IFRS Accounting Standards were introduced more than 20 years ago” (Source: www.ifrs.org). The standard explicitly targets investor needs: it creates a **common structure** (set categories and subtotals) and brings manager analyses (MPMs) into the financial statements where they can be audited (Source: www.ifrs.org) (Source: [kpmg.com](https://www.kpmg.com)).

The key objectives of IFRS 18 are outlined on the IFRS Foundation’s website: it “sets out overall requirements for the presentation and disclosure in financial statements,” specifically (a) introducing **two defined profit-level subtotals** (“operating profit” and “profit before financing and income tax”), (b) mandating disclosure of **management-defined performance measures (MPMs)**, and (c) adding new guidance on **aggregation and disaggregation of items** (Source: www.ifrs.org). These measures are designed to:

- **Standardize core metrics:** By mandating “operating profit” and “profit before financing and income taxes,” IFRS 18 gives all companies a common baseline subtotal (Source: www.ifrs.org) (Source: www.journalofaccountancy.com).
- **Enhance insight into management’s views:** By defining MPMs and requiring a single reconciled disclosure note, investors can see exactly how a company’s “adjusted” or “core” measures relate to IFRS results (Source: [kpmg.com](https://www.kpmg.com)) (Source: blog.pwc.lu).
- **Encourage useful detail:** Stricter aggregation rules and the discouragement of “other” buckets means material line items must be shown separately (Source: [kpmg.com](https://www.kpmg.com)) (Source: www.accountancyireland.ie).

The IASB formally issued IFRS 18 in April 2024, replacing IAS 1 (which dated from 1997 with subsequent amendments) (Source: www.ifrs.org). It is effective January 1, 2027 (annual periods) and companies need to apply it **retrospectively** (Source: www.ifrs.org) (Source: www.ifrs.org). In practical terms, the first IFRS 18 statements will be for 2027 results (with 2026 comparatives). For December-year companies, this means implementing changes by 1 January 2026 so that the 2026 comparatives can be restated under IFRS 18 (Source: [kpmg.com](https://www.kpmg.com)) (Source: www.accountancyireland.ie). Early adoption is permitted, and indeed many advisers recommend planning implementation immediately due to the scale of change (Source: www.deloitte.com) (Source: www.accountancyireland.ie).

From IAS 1 to IFRS 18: An Evolving Landscape

IAS 1, the predecessor to IFRS 18, had long provided concepts such as classification by function or nature of expense, and the requirement for a complete set of financial statements (Source: www.ifrs.org). However, IAS 1's requirements were principles-based and allowed wide choice in structuring financial statements; subtotals like gross profit or EBITDA were at management's discretion and not mandated (Source: www.accaglobal.com) (Source: blog.pwc.lu). Over the years, piecemeal amendments (e.g. Disclosure Initiative in 2014) attempted to improve IAS 1 presentation, but none directly addressed the root cause: the lack of a standardized P&L format (Source: www.ifrs.org) (Source: blog.pwc.lu).

IFRS 18 now inherits much of IAS 1's framework for balance sheet and statement of cash flows (unchanged) but *completely overhauls the profit and loss (P&L) statement* (Source: www.ifrs.org) (Source: www.journalofaccountancy.com). The IASB retained many IAS 1 provisions (for example, many balance sheet line-item rules and broad requirements) but moved some others (such as materiality and disclosure breadth) into IFRS 18 or related standards (Source: www.ifrs.org) (Source: www.ifrs.org). Notably, IFRS 18's scope is limited to presentation and disclosure – *it does not change recognition or measurement* of any item (Source: www.ifrs.org). Thus, a company's net profit remains unchanged; what changes is *how items flow through the profit or loss and how results are disclosed* (Source: kpmg.com).

The IASB's basis for conclusions (not quoted here) shows that IFRS 18 is the culmination of extensive research and consultation (including investor outreach, field tests, and debate within the IASB). It reflects investor frustration with "adjusted" or non-IFRS figures that were difficult to reconcile (Source: www.journalofaccountancy.com) (Source: blog.pwc.lu). For example, adjusted metrics often improved reported performance in a way that left analysts "without a clear, consistent view" of true results (Source: www.journalofaccountancy.com). By structuring financial statements in a more standardized, transparent way, IFRS 18 aims to "modernize reporting" and align it with how businesses think about performance (Source: www.journalofaccountancy.com) (Source: www.deloitte.com).

Historical Context: Calls for Change

The genesis of IFRS 18 can be traced to multiple factors over the last decade. One major driver was the pervasive use of **alternative performance measures (APMs)** such as EBITDA. Research has shown that many companies highlight these "non-GAAP" figures extensively, but with varying definitions and without audit confirmation (Source: www.journalofaccountancy.com) (Source: blog.pwc.lu). This led to calls (from groups like the European Securities and Markets Authority and investor survey feedback) for better regulation of performance metrics. The IASB recognized this issue in projects like their "Better Communication in Financial Reporting" initiative in the mid-2010s, culminating in revising IAS 1's requirements and eventually launching the Primary Financial Statements project.

Another impetus was advances in data analysis and technology. As described in academic and professional commentary, analysts increasingly rely on digital data feeds and automated comparability. In a "data-driven world," analysts need standardized, machine-readable line items in P&L to compare companies effectively (Source: www.journalofaccountancy.com). IFRS 18 responds to this by reducing diversity in line items and enforcing consistent subtotals and labels (Source: www.journalofaccountancy.com) (Source: blog.pwc.lu).

A third factor is globalization. Investors want to compare cross-border companies. Inconsistent national GAAP rules (and even diverse interpretations of IFRS IAS 1) made it hard to benchmark, say, an EU company against a US-listed company (where US GAAP did have some defined subtotals like "operating income," but even that varied). IFRS 18 ensures that, under IFRS, all companies present at least the same core subtotals in the P&L, leveling the playing field (Source: www.journalofaccountancy.com) (Source: www.ey.com).

Finally, IFRS 18 can be seen in the context of earlier standards aimed at the P&L. For example, IFRS 8 (Operating Segments) requires segment disclosures, but IFRS 18 now affects how segment information connects to the P&L categories. Similarly, IFRS 15 (Revenue Recognition) and IFRS 16 (Leases) changed the content of financial statements; IFRS 18 changes the *format* and disclosures around that content. Together, these reforms indicate a broad shift towards more transparent and comparable financial reporting.

Key Requirements of IFRS 18

Five Standardized Income Statement Categories

Under IAS 1, companies could label and organize income and expense lines with considerable freedom. IFRS 18 **changes this radically by requiring five predefined categories in the statement of profit or loss** (Source: blog.pwc.lu) (Source: www.deloitte.com). All income and expense items must be classified into one of:

- **Operating** – the *residual* or default category for a company's main business activities and any items not in other categories (Source: www.leash.co.za) (Source: blog.pwc.lu).
- **Investing** – for returns on “long-term” assets used independently of the core business (more on criteria below) (Source: www.leash.co.za) (Source: blog.pwc.lu).
- **Financing** – for activities involving financing or raising capital (debt, etc.), distinct from day-to-day operations (Source: www.leash.co.za) (Source: blog.pwc.lu).
- **Income Taxes** – all tax expense or income as per IAS 12 (this follows existing practice).
- **Discontinued Operations** – the profit or loss from discontinued segments (under IFRS 5), also consistent with IAS 1.

The *operating*, *investing*, and *financing* categories are newly defined by IFRS 18 (the last two already existed under IAS 1 as broad concepts but lacked precise guidance). IFRS 18 provides detailed criteria for what belongs in each category. As one summary explains, the *Operating* category typically includes “results from main business activities and any income and expenses not classified in other categories” – essentially a catchall for core and residual items (Source: www.leash.co.za) (Source: blog.pwc.lu).

The *Investing* category is intended for returns on assets that generate returns “independently” of the other resources of the business (Source: www.leash.co.za) (Source: blog.pwc.lu). Common examples given include: equity-accounted associates and joint ventures; interest and dividends on surplus cash; rental and fair value gains on investment properties; and other passive investments (Source: www.leash.co.za) (Source: www.accaglobal.com). If a manufacturing company earns interest on bank deposits, that interest would go to Investing (since investing is not its main business).

The *Financing* category covers all income and expense from **financing actions**. This includes interest on bank loans, bond issuance costs, fair value changes on debt, and the unwinding of discount on pension obligations – basically the cost of raising or servicing finance (Source: www.leash.co.za) (Source: www.accaglobal.com). IAS 1 already required certain financing line items, but IFRS 18 formalizes and expands this. Crucially, IFRS 18 defines two types of liabilities: **financing liabilities** (which *only* involve raising finance, e.g. bonds, loans) whose related income/expense go in Financing, and **other liabilities** (those arising from broader transactions, e.g. lease liability or provisions), where only certain components (interest or unwinding of discount) go to Financing while other components (like service costs) stay in Operating (Source: www.accaglobal.com).

The remaining two categories (Income Taxes and Discontinued Operations) follow IAS 1 and IFRS 5 rules and are unaffected in substance. However, by explicitly listing them, IFRS 18 ensures every item in the P&L fits one of the five buckets (Source: blog.pwc.lu).

A nuanced aspect of these categories is how **an entity's main business activities** can override general rules. IFRS 18 recognizes that for some companies (especially financial institutions or investors), investing or financing is actually *core* business. For example, a bank's main activity is providing financing, so many items that would normally sit in Financing for other firms must be in Operating for the bank (Source: www.deloitte.com) (Source: blog.pwc.lu). Conversely, a pension fund's main business is investing, so that changes how items are classified. IFRS 18 explicitly instructs that if an entity's *specified main business activity* is investing in particular assets or providing long-term financing to customers, then income/expense from those activities goes in Operating instead of the usual category (Source: www.deloitte.com) (Source: blog.pwc.lu). In effect, IFRS 18 ensures that “operating profit will include the results of an entity's main business activities” (Source: blog.pwc.lu). This principle introduces significant judgment: companies must carefully determine their main activities and classify items accordingly, which can differ between parent and subsidiaries in diversified groups (Source: www.accountancyireland.ie) (Source: www.accountancyireland.ie).

Practical examples illustrate these rules. A manufacturer that occasionally sells surplus machinery may label the gain as *Investing*, since asset sales are not its main trade (Source: www.accountancyireland.ie). But if a company's main business is buying and selling equipment as a trade, similar gains go to *Operating*. IFRS 18 even clarifies that a manufacturer offering customer financing (e.g. long-term payment plans) might qualify as having financing as a core activity, thus interest earned on those loans would go in *Operating* (Source: www.accountancyireland.ie). These judgments are complex and a source of future IFRIC agenda discussions (Source: www.accountancyireland.ie) (Source: www.ifrs.org). What is clear is that IFRS 18 demands transparency: companies must disclose how they decided on their main activities and how that affected classification.

The effect of these rules is twofold: first, it aligns reporting with economics (so a bank shows core lending in operating profit); second, it improves comparability (so two banks or two auto companies will have similarly organized P&Ls). But it also means that two companies in the same group may classify differently if their business mixes differ, complicating consolidation and requiring detailed policies (Source: www.accountancyireland.ie) (Source: www.accountancyireland.ie). Regulatory bodies (like the UK's FRC) are even providing relief (e.g. on the by-nature breakouts) for some entities, but the overall thrust of IFRS 18 is a unified, logical categorization of all P&L line items (Source: www.accountancyireland.ie) (Source: www.accountancyireland.ie).

Required Subtotals and Disclosures

Along with fixed categories, IFRS 18 mandates specific subtotals in the income statement, reducing ambiguity. The two **new mandated subtotals** are:

- **Operating profit or loss** – defined as the profit (loss) after all *operating income and expenses*, i.e. before financing and taxes. This subtotal isolates the results of core activities (Source: www.ey.com) (Source: blog.pwc.lu).
- **Profit or loss before financing and income tax** – essentially Profit before interest and tax (PBIT), i.e. operating profit minus any items not related to financing (none remain) but before tax (Source: www.ey.com) (Source: blog.pwc.lu).

In practice, “Operating profit or loss” sits between the operating/investment/financing categories and the tax line on the P&L. Corporate reporters will need to calculate it explicitly. Prior to IFRS 18, terms like “Operating profit” were used variably (sometimes meaning EBIT, sometimes something else); under IFRS 18 “Operating profit” has a specific definition based on the categories (Source: www.journalofaccountancy.com) (Source: blog.pwc.lu). Similarly, “Profit or loss before financing and income taxes” provides a universally required line (earlier, companies had to show “profit before tax,” but not necessarily before financing).

IFRS 18 also mandates that the **final bottom-line total** is labeled “Profit or loss” (which was already required under IAS 1, and remains unchanged) (Source: blog.pwc.lu). Unlike IFRS 18’s two new subtotals, some traditional subtotals remain optional: “Gross profit” and “Profit before tax” can still be shown if useful, and IFRS 18 explicitly notes companies may present additional subtotals like gross profit if they help the P&L provide “a useful structured summary” (Source: www.accaglobal.com) (Source: blog.pwc.lu).

All subtotals now must be clearly labeled and audited. The Journal of Accountancy notes that IFRS 18 requires *standardized labels* and line items, reducing ambiguity (Source: www.journalofaccountancy.com). This helps stakeholders, as everyone interprets “Operating profit” consistently. However, companies must be careful if they historically use a term like “EBITDA” or adjusted profit in contracts: IFRS 18 does not require these labels on the face of the P&L, but if such measures are presented, they would be MPMs (see next section) and not substitutes for the new defined subtotals in IFRS 18 terms (Source: kpmg.com) (Source: blog.pwc.lu).

In the notes, IFRS 18 also requires disclosures for certain aspects of the income statement, such as a schedule of operating expenses by nature if the company uses a function-based presentation (Source: www.pwc.com). These requirements ensure that even if expenses are grouped by function on the face of the P&L, readers can still see the breakdown (e.g. depreciation, payroll, materials). Companies will have to explain their choice of “by nature” vs “by function” and consistently apply it (Source: www.pwc.com) (Source: www.journalofaccountancy.com).

Management-Defined Performance Measures (MPMs)

One of IFRS 18’s most visible changes is how it treats management’s own metrics. IFRS 18 defines a subset of non-IFRS measures called **Management Performance Measures (MPMs)**. An MPM is a subtotal of income or expenses satisfying three criteria: (1) it is not a required IFRS figure, (2) it is used in external communications (e.g. in presentations/press releases), and (3) it reflects management’s view of overall financial performance (Source: kpmg.com) (Source: blog.pwc.lu). In practice, this means common APMs like EBITDA, adjusted operating profit, core earnings, etc., will often qualify as MPMs if the company has promoted them externally.

Under legacy practice, companies often reported these APMs only in MD&A or earnings calls. IFRS 18 **brings them into the financial statements**. Specifically, IFRS 18 requires a *single note* that summarizes all such MPMs presented in external reporting, stating clearly they represent management’s view and may not be comparable with other companies (Source: kpmg.com) (Source: blog.pwc.lu). For each MPM, the note must include:

- A description of the performance aspect it conveys and why management believes it is useful (Source: kpmg.com) (Source: blog.pwc.lu).
- How the MPM is calculated (i.e. what items it includes or excludes) (Source: kpmg.com).
- And *crucially*, a **reconciliation to the nearest comparable IFRS subtotal** (Source: kpmg.com) (Source: blog.pwc.lu). This means, for example, if a company reports “Adjusted EBITDA”, the note must show how one arrives at that figure starting from IFRS “Operating profit” (or the relevant IFRS-defined subtotal), with separate columns for tax effects and non-controlling interests on each reconciling item.

This is a major shift. As the Journal of Accountancy explains, MPMS “must now appear within the financial statements, rather than being buried in unaudited commentary” (Source: www.journalofaccountancy.com). Auditors will audit these reconciling notes and verify the logic. The aim is to “**improve the discipline and transparency**” of such measures (Source: kpmg.com) (Source: blog.pwc.lu). While IFRS 18 does not ban any particular APM, it severely restricts the flavor of those that will be tolerated (they must be fully explained and justified). For instance, PwC notes that companies will need to reassess their suite of APMs and align them with IFRS 18’s formal MPM definition (Source: www.accountancyireland.ie).

In summary, **what was once “non-GAAP” can no longer be hidden**: IFRS 18 effectively requires that any performance measure used externally by management (e.g. “EPS excluding A” or “underlying profit”) be defined, reconciled, and disclosed in the notes. IFRS themselves state the objective as awarding investors “more transparent and comparable information” including about management’s own metrics (Source: www.ifrs.org) (Source: blog.pwc.lu).

Aggregation, Disaggregation and Labeling

Another cornerstone of IFRS 18 is **enhanced guidance on aggregation and disaggregation** across all primary statements. While IAS 1 already had principles about materiality and not obscuring information, IFRS 18 adds clarity. The general rule is: **items that share “economic characteristics” should be aggregated, and those that differ should be disaggregated**, to ensure material sums are visible (Source: kpmg.com) (Source: www.ifrs.org). In plain language, companies can no longer just lump everything under “Other” unless truly immaterial; IFRS 18 explicitly discourages broad “other” categories without explanation (Source: kpmg.com) (Source: www.accountancyireland.ie).

For example, IFRS 18 says entities should minimize the use of unspecified “other” line items and, if used, provide additional disclosure on what they consist of (Source: kpmg.com). It also requires considering characteristics such as nature, function, size, measurement basis, or regulatory environment when grouping information (Source: www.accountancyireland.ie) (Source: www.deloitte.com). This means an entity should group items by meaningful patterns – e.g. all selling expenses together, all R&D costs together – rather than aggregating unrelated costs. If two line items have different patterns of future profitability or risk, they should be reported separately.

Importantly, IFRS 18 clarifies what belongs in **the face of the statement** versus in the notes. Many line items that were previously optional or left to judgment must now be shown if material (e.g. separate lines for depreciation or impairment, share of profit of JV, etc., depending on the nature of the entity). Conversely, only items of appropriate significance should be on the face; everything else goes into notes where it’s thoroughly explained. This consistent logic, the IFRS Foundation explains, will “provide more detailed and useful information” (Source: www.ifrs.org).

For operating expenses, IFRS 18 explicitly sets out that if an entity presents the P&L by function (e.g. cost of sales, admin) on the face, it must disclose the breakdown by nature (e.g. salaries, depreciation) in a note (Source: www.pwc.com). This ensures that even when we see a grouped number like “cost of goods sold”, we know what drove it. The rules also say if mixed presentation is used (some function, some nature), line items must be clearly labeled to indicate their scope (Source: www.accaglobal.com).

In summary, IFRS 18’s **aggregation/disaggregation principles** require companies to justify how they combined or split items, always with investor needs in mind. The emphasis is on *meaningful organization of information*, without hiding material items. Academic commentators note that this will likely strip away many “miscellaneous” line items and force disclosure of previously buried details (Source: www.accountancyireland.ie) (Source: www.deloitte.com).

Other Presentation Rules

Beyond the main P&L categories and subtotals, IFRS 18 carries over existing IAS 1 line-item rules that remain relevant. For example, IAS 1 required presentation of certain minimum lines (revenue, profit/loss, etc.), some of which IFRS 18 retains. However, IFRS 18 also explicitly incorporates those IAS 1 paragraphs that were not reconsidered, and moves others to related standards. For instance, cash and cash equivalents classification is now discussed in parallel with IFRS 7, and definitions of “material” and “aggregation” are carried from IAS 1 into IFRS 18’s glossary (Source: www.ifrs.org) (Source: www.ifrs.org).

IFRS 18 also addresses specific items like extraordinary gains or losses (which no longer exist under IFRS 15/16 era), and emphasizes consistency in labels and terminology across reports (Source: www.journalofaccountancy.com). Entities must continue to comply with any specific IFRS that mandates line items (for example, IAS 12 still requires a tax line, IFRS 7 lines in the cash flow, etc.), but IFRS 18 explicitly integrates these reprises. Audit committees and preparers must therefore update their templates to include the new mandatory line items (for Operating profit et al.) and to ensure alignment with IFRS texts.

It is worth noting that while IFRS 18 focuses on the P&L, many principles extend to the cash flow and equity statements (through the aggregation guidance). For example, the enhanced disaggregation logic applies to all primary statements and notes, not just the P&L (Source: www.pwc.com) (Source: www.deloitte.com). Collectively, IFRS 18 promotes consistency across the whole set of financials: if one item (say, interest income) is classified as financing in the P&L, it should align accordingly in the cash flow and disclosures.

Implementation Considerations and Practical Impact

Transition and Timeline

IFRS 18 is effective for periods starting on or after 1 January 2027 (Source: www.ifrs.org) (Source: www.ifrs.org). Because the standard requires **retrospective application with restatement of comparatives**, companies with year-ends in 2027 will need to present 2026 comparatives under IFRS 18. In practical terms, this means for a December 31, 2027 year-end, the IFRS 18 changes must be in place by January 1, 2026 (Source: kpmg.com) (Source: www.accountancyireland.ie). Preparers must restate 2026's income statement in the new format, and produce an interim 2027 report showing the new categories. (PwC specifically highlights that affected companies should be tracking relevant data from 2024 onward to build their restatements (Source: www.accountancyireland.ie).)

Early adoption is allowed, and many consultants encourage it to solve potential issues before mandatory adoption. As one advisory note states: "Now is the time to get ready," urging companies to plan implementation well in advance (Source: kpmg.com). Given the extensive system and process changes needed, firms typically start their IFRS 18 transition projects 2–3 years ahead of the effective date. As of late 2025, many firms are conducting impact assessments or pilot testing new reporting formats for their 2025 or 2026 interim filings.

In governance terms, the responsibility for IFRS 18 readiness usually falls to the CFO/Group Reporting function, but it demands a cross-functional effort (finance, IT, HR/training, investor relations). The KPMG advisory (UK) even outlines that investor relations, external communication, and legal (for covenants) teams need to be involved early (Source: kpmg.com). PwC's roadmap similarly shows that effective 2027 adoption requires changes by 2026, with leadership alignment on strategies for communicating to stakeholders (Source: www.accountancyireland.ie). Regulatory bodies in some jurisdictions (e.g. UK's FRC) may require disclosure of IFRS 18's impact before full adoption — suggesting companies should include IFRS 18 preparations in FY2025 and FY2026 reports (Source: www.accountancyireland.ie).

Systems and Process Changes

Because IFRS 18 changes the *structure* of the primary financial statements, it will often have **widespread process implications**:

- **Chart of Accounts and Data Capture:** Companies may need to revise their chart of accounts so that every transaction can be classified as operating, investing, or financing (or taxes, etc.). For example, system codes for interest expense would have to indicate whether the underlying liability is a financing liability or another liability (the classification rules hinge on that distinction) (Source: www.accaglobal.com) (Source: kpmg.com). Banking or treasury systems might need tags for interest on borrowing vs. interest on other non-finance liabilities.
- **Transaction Processing:** Some transactions that were once recorded in one bucket will need to be split. For instance, a bank's interest income from customer loans will now feed into Operating instead of Investing (since financing is main activity), so mapping rules must change. Similarly, foreign exchange gains/losses will be allocated depending on the connected item's category (as confirmed by IFRIC agenda discussions (Source: www.ifrs.org)). This may require changes in ERP or finance systems to tag transactions with their IFRS 18 category at source.
- **Consolidation and Eliminations:** In multi-entity groups, differences in main activities can cause classification mismatches when consolidating. For example, one subsidiary might view an item as operating, another as financing, so the consolidation process must reconcile these differences. In practice, groups may update their consolidation templates to ensure consolidation entries do not mix categories unexpectedly.
- **Volume of Disclosures:** IFRS 18 generally **increases the granularity** of required disclosures (e.g. breakdown of expenses by nature, and detailed MPM notes). Companies must gather data for these notes, which may involve new data fields. For example, to show material components of "by nature" breakdown, the system might need to track how much of each expense type is included in each functional line. As KPMG notes, companies may need to "add new data points for disclosures" and modify controls to ensure completeness (Source: kpmg.com) (Source: www.accountancyireland.ie).
- **Performance Metrics and KPIs:** If management used self-defined subtotals (like "adjusted operating profit") as KPIs or budget bases, those may need recalculating. The definition of "Operating profit" under IFRS 18 may not match the old internal definition. As KPMG points out, remuneration schemes or covenants tied to phrases like "operating profit" must be scrutinized (Source: kpmg.com). This could ripple into workforce agreements and loan covenants, potentially requiring renegotiation to avoid unintentional breaches under the new definitions.

Given these areas, EY and Deloitte both emphasize forming a **cross-functional team (finance, IT, HR, IR)** and conducting a thorough impact assessment covering data architecture, accounting processes, and controls (Source: www.deloitte.com) (Source: www.ifrs.org). Companies should also inventory their current use of performance measures to identify which are MPMs and how to integrate them.

Judgments, Controls, and Training

IFRS 18 contains numerous judgments and policy choices that need documentation and consistent application:

- **Determining Main Business Activities:** As discussed, classifying items often depends on what the entity considers its main activities. Entities need clear policies for assessing whether a business is a “financing entity” or “investment entity” by IFRS 18’s definitions. These policies have to be documented (and possibly reviewed by auditors) to justify classification decisions. PwC notes that evidence like revenue patterns or business plans may be used (Source: blog.pwc.lu). For groups operating in multiple industries, consistency of judgment across units will be critical, yet each reporting entity must make its own assessment to comply with IFRS 18 (Source: blog.pwc.lu) (Source: www.accountancyireland.ie).
- **Classification of Specific Items:** IFRS 18 has detailed rules for items like foreign exchange, hybrid contracts, and derivatives. For example, IFRIC has already issued clarifications on how to classify derivatives used for foreign currency risk management within the categories (Source: www.ifrs.org) (Source: www.ifrs.org). Entities will need to incorporate such guidance into their policies. These rules may lead to “mismatches” (like a derivative gain in one category offsetting the loss on the underlying in another), so companies must decide if they rely on IFRS 18’s “undue cost or effort” exemption or reallocate items to avoid misalignment (Source: www.ifrs.org).
- **Internal Controls:** New controls must be built to ensure compliance with IFRS 18. For example, validation routines could flag if a subcontractor expense has been misfiled in the investing category by mistake (since subcontracting is an operating expense). Audit procedures will now check MPM reconciliations and the completeness of category allocations. Documentation of the chart of accounts mapping to IFRS categories becomes an important control artifact.
- **Staff Training:** With so many new concepts, broad training is needed. Finance teams, and even business unit managers, need to understand the distinction between operating vs investing vs financing. Investor relations and communications teams must grasp the implications for external reporting. The change is pervasive, so training on IFRS 18 should happen soon and be reinforced regularly until adoption.

Several big accounting firms list **training and communication** as key steps. Deloitte advises “training staff to ensure proper application and comprehension of new classifications” (Source: www.deloitte.com). Companies are encouraged to engage with auditors and regulators early, and possibly arrange educational sessions (e.g. the IFRS Foundation and EFRAG have hosted seminars on IFRS 18 for corporates) to ensure all stakeholders have a shared understanding.

Impact on Financial Communication

IFRS 18 will significantly affect how companies discuss their financial results:

- **Interim and Guidance Reporting:** When presenting interim results for 2026, companies may choose (or in some cases be required) to re-state narrative KPIs in terms of the new categories. For example, if a company’s 2026 internal forecast used “operating profit” (old definition), it will need to clarify that the 2026 comparatives under IFRS 18 “operating profit” are not directly the same measure. Analysts may need guidance on interpreting trend lines that shift in structure.
- **Press Releases and Analyst Calls:** Because IFRS 18 brings many “non-GAAP” metrics inside the financial statements, companies should prepare to explain these changes early on. Investor relations teams will likely have to walk analysts through how to read the new statements. For instance, a company might issue a conversion table showing how 2025 reported figures would look under IFRS 18, as part of investor communication. Transparency here is critical to avoid confusion about apparent “jumps” or “drops” in subtotals that are purely due to classification shifts.
- **Comparability Warnings:** As IFRS 18 applies at the reporting-entity level, filers should remind stakeholders that historical comparatives are not directly comparable if the company (or peer companies) change their main business designation. For example, a consumer electronics company’s 2027 “operating profit” might include interest income on leases if leasing became deemed a core activity. Management should highlight such changes in the financial statements.

Consultants suggest that companies start engaging their auditors and auditors’ committees now. Both KPMG and EY stress the need for “investor and board communication strategies” ahead of IFRS 18 (Source: www.deloitte.com) (Source: www.ey.com). Specifically, KPMG (Ireland) recommends involving investor relations teams **early** to explain the coming changes so that stakeholders will “already understand the impact” by the time the standard is mandatory (Source: kpmg.com).

Regulatory and Jurisdictional Aspects

Globally, IFRS 18 will be applied by all jurisdictions that already use IFRS. For example, the **International Accounting Standards Board (IASB)** has noted that all IFRS reporters will be affected, “regardless of size or sector” (Source: [blog.pwc.lu](https://www.pwc.lu/blog)). In practice, some local regulators may grace smaller or simpler entities (e.g. IFRS “small and medium” frameworks), but for listed and large companies the change is mandatory.

In the UK, the Financial Reporting Council (FRC) has acknowledged IFRS 18’s impact. Under UK-adopted IFRS, companies will follow IFRS 18’s requirements, but the FRC has provided some *practical expedients* for UK-resident entities. For instance, the FRC’s COVID-era relief on providing an analysis of operating expenses by nature was extended to IFRS 18 transitions (allowing entities to continue prior format in 2026) (Source: www.accountancyireland.ie). This suggests that regulators recognize the burden and have given some short-term relief on the most data-intensive requirements. Companies should watch for similar guidance in other regions (e.g. from the European Commission or local securities regulators) aimed at easing transition.

Notably, IFRS 18 is an **international standard**; it effectively sets a new global norm for the income statement. It is not an Asia- or Europe-only development; reporters in Africa, Latin America, and elsewhere applying IFRS will also adopt these changes. For multi-listed companies (e.g. dual US/EU listing), an interesting issue is U.S. GAAP’s response. As of early 2026, the U.S. Financial Accounting Standards Board (FASB) had not issued a comparable standard. Therefore, companies reporting in both GAAPs may have different P&L formats (although U.S. GAAP historically used more fixed labels than IAS 1). How U.S. registrants communicate these differences (through reconciliation of IFRS vs U.S. numbers) will be a topic of interest for global analysts.

Industry Perspectives

While IFRS 18 applies to all industries, some sectors will experience its effects more acutely.

- **Banks and Financial Institutions:** IFRS 18 contains **special provisions for banks and finance companies**, because for them financing is core. In those cases, many items that would ordinarily sit in the Investing or Financing categories are reclassified to Operating (Source: www.pwc.com) (Source: [blog.pwc.lu](https://www.pwc.lu/blog)). For example, interest earned on loans to customers and interest expense on deposits will both feed into Operating profit rather than one in Operating and one in Financing. Similarly, investment income may be treated as operating. EY notes that finance-providing entities will thus have “operating profit” that effectively captures their whole P&L (Source: www.deloitte.com) (Source: www.ey.com). The practical effect is to make banking and finance P&Ls look simpler (one big operating category) and to align their income statements with their business models. However, it also means banks must ensure system tags properly classify all interest in the Operating bucket. Regulators will watch closely for consistent treatment (for example, in determining whether a lease liability is a financing liability, etc.).
- **Investment Entities / Insurance:** Entities whose business is investing (like insurance companies or PE firms) have similar special rules. If investing activity (such as owning investment properties or securities) is declared a main activity, then the returns on those assets go into Operating instead of Investing. This ensures, for instance, that an investment fund’s core investment returns show up in operating profit. Because IFRS 17 (Insurance) and other standards may interact, insurers will need to reconcile IFRS 17 revenue/profit with IFRS 18 categories. Educational sessions (such as those by EFRAG/IASB) have already addressed these sector-specific issues.
- **Manufacturing vs. Retail vs. Technology:** Non-financial companies must make the “main activities” assessment carefully. As PwC highlights, many retailers or manufacturers might find that their own financing activities (like customer credit programs) qualify as main, pulling things like interest income into Operating (Source: [blog.pwc.lu](https://www.pwc.lu/blog)). Companies in technology or service sectors with substantial investment portfolios may need to reconsider what is “investing” vs “operating”. This may require dialogue with boards on how to present performance. The key is that IFRS 18 level-sets what is “core” for an entity, and this can affect reported operating margin, etc.
- **Conglomerates and Diversified Groups:** As noted above, groups with multiple lines of business face the challenge that IFRS 18 is applied to each “entity.” A parent company and a subsidiary might have different conclusions about main activities, leading to reconciliation differences on consolidation. Deloitte warns that separate judgements may cause reclassifications in consolidated results (Source: [blog.pwc.lu](https://www.pwc.lu/blog)) (Source: www.accountancyireland.ie). Multinationals should consider consistency across jurisdictions, as well as alignment of reporting practices with segment disclosures (IFRS 8) and between IFRS and any local GAAP branches.

In each case, companies often draw on sector peers and analyst benchmarks to decide how to apply IFRS 18 in a “standard” way. However, IFRS 18 is broad enough that companies should avoid mechanical copying and instead focus on faithfully representing their own operations. Analysts will likely adjust to the new regime by comparing “apples to apples” across sectors (especially aided by the standardized subtotals), but in the transition year they should heed each company’s specific categorization disclosures.

Detailed Analysis of IFRS 18 Changes

Comparison of IFRS 18 and IAS 1 (Preceding IFRS)

ASPECT	IAS 1 (PRE-IFRS 18)	IFRS 18 (NEW STANDARD)
Categories of Income/Expense	No mandated categories (flexible labels based on material items) (Source: www.accaglobal.com). Companies often used revenue, COGS, S&D, admin, etc.	<i>Five categories</i> are required: Operating, Investing, Financing, Income Tax, Discontinued (Source: www.deloitte.com) (Source: blog.pwc.lu). Items must be assigned to one category.
Defined Subtotals (P&L)	Only the final Profit or Loss required. No standardized interim subtotals (gross profit optional, others at discretion) (Source: www.accaglobal.com) (Source: blog.pwc.lu).	Two new required subtotals: Operating profit or loss and Profit or loss before financing and income taxes (Source: www.ifrs.org) (Source: blog.pwc.lu). (Profit or loss remains mandatory). All subtotals must be clearly labeled.
Management Performance Measures (MPMs)	Not recognized; non-GAAP measures shown outside financials (if at all) with no formal disclosure rule.	Must disclose <i>all</i> income-statement-related MPMs in a single note, with explanation and reconciliation to IFRS subtotals (Source: kpmg.com) (Source: blog.pwc.lu) (subject to audit).
Expense Presentation (Nature vs. Function)	Optionally by nature, by function, or mixed (Source: www.accaglobal.com). If by function, some supplementary nature information often given voluntarily.	Explicit guidance: Entities choose nature, function or mixed; if presenting by function, must disclose a by-nature schedule for relevant items (Source: www.pwc.com) (Source: www.accaglobal.com). Format and method must be disclosed.
Aggregation/Disaggregation	IAS 1 had general materiality guidance on disaggregating information (Source: www.ifrs.org). Practice varied. Subtotals often aggregated by convenience.	Detailed principles: aggregate items with similar characteristics; disaggregate otherwise; discourage undefined “other” labels (Source: kpmg.com) (Source: www.accountancyireland.ie). More items likely to be shown separately if material.
Non-specific “Other” Line Items	Common (e.g. “Other operating expenses”) without explicit limit. Disclosure of composition often limited.	Use of “other” is discouraged. If used, entities must provide additional breakdowns or explanations (Source: kpmg.com) (Source: www.accountancyireland.ie).
Scope of Standard	IAS 1 covered all presentation and disclosure; fairly broad scope with various amendments.	IFRS 18 focuses on presentation/disclosure; many IAS 1 paragraphs shifted to IFRS 8, IAS 7, etc. (Source: www.ifrs.org) (Source: www.ifrs.org). Some aspects (e.g. OCI presentation) remain in IAS 1 or moved.
Effective Date	Superseded (revised 2007, new rules in 2011, etc.). Latest IAS 1 paragraphs (e.g. on nature vs function, OCI) applied until replaced.	Effective for annual periods ≥1 Jan 2027. Early adoption allowed. Applies retrospective with comparatives (Source: www.ifrs.org) (Source: www.accountancyireland.ie).

Sources: IFRS 18 standard and IAS 1 (IFRS 18 supersedes IAS 1) (Source: www.ifrs.org), IFRS Foundation news (Source: www.ifrs.org), accounting firm summaries (Source: www.accaglobal.com) (Source: kpmg.com) (Source: blog.pwc.lu).

Analysis: The table shows how IFRS 18 codifies practices that were previously optional or non-existent. Under IAS 1, companies had significant latitude in formatting the P&L; IFRS 18 locks in a uniform structure. It introduces comparability by making key subtotals mandatory and formalizing the treatment of measures that some firms used unofficially. It also provides more fine-grained disclosure rules, meaning preparers who treated “Other operating expenses” as opaque shrubs will need to open them up. Overall, IFRS 18 increases standardization at the expense of some previous flexibility (Source: www.deloitte.com) (Source: blog.pwc.lu).

Example Categories and Classifications

The five IFRS 18 categories can be summarized (with examples) as follows:

CATEGORY	DESCRIPTION	TYPICAL ITEMS (EXAMPLES)
Operating	Default (“residual”) category primarily for an entity’s core activities. It includes any income or expense not explicitly classified elsewhere (Source: www.leash.co.za) (Source: blog.pwc.lu).	

- **Core business revenue/expenses:** e.g. sales revenue, cost of goods sold, R&D, SG&A, production costs (for a manufacturer).
- **Other items:** FIFO/LIFO adjustments, certain FX gains/losses on operating assets, expenses on “other” liabilities (like pension service costs).
- **Unusual items:** Even volatile or rare items remain here unless IFRS specifies otherwise (e.g. a large one-off gain may be in Operating).

| **Investing** | Items from assets that generate returns *independently* of the entity’s main operations (Source: www.leash.co.za). Includes returns on passive investments or associates. |

- Share of profit/loss from associates & JVs (Source: www.accaglobal.com).
- Interest and dividends on spare cash/surplus funds (if investing is not main) (Source: www.pwc.com) (Source: www.accaglobal.com).
- Rental income from investment property (unless property investment is main biz).
- Gains or losses on sale of long-term investment assets.

| **Financing** | Income/expenses from transactions solely about raising or servicing capital (Source: www.accaglobal.com). Covers interest-related and financing instrument costs. |

- Interest expense on bank loans, debentures, bonds.
- Interest income on financing receivables if financing *is* a main activity (otherwise that interest goes in Investing) (Source: www.deloitte.com) (Source: blog.pwc.lu).
- Fair value changes on debt instruments.
- Unwinding of discount on provisions (e.g. warranty provisions, decommissions) – considered financing component.
- Dividends declared on financial liabilities (e.g. preferred share dividends treated as remove, if FASB style).

| **Income Taxes** | Tax expense or benefit arising from the current and prior periods (IAS 12). | Current tax, deferred tax expense (no change from IAS 1 practice). | | **Discontinued Operations** | Profit or loss from segments that meet criteria for disposal or held-for-sale (IFRS 5). | Profit/loss on disposal of a subsidiary, results of a discontinued business line. |

[See ACCA and IFRS commentaries for detailed rules (Source: www.accaglobal.com) (Source: www.ey.com).]

Key Points from Example: Note that *Operating* is a catch-all – basically anything not meeting stricter criteria for the other categories. However, Operating is still subdivided by nature or function (e.g. selling vs admin). The classification of any given item depends on context: e.g. interest income goes to Investing for most companies, but to Operating for a bank, per IFRS 18’s special rules (Source: www.deloitte.com). Foreign exchange gains/losses similarly follow the underlying item (as IFRIC clarifies) (Source: www.ifrs.org) (Source: www.ifrs.org). This table underlines how IFRS 18 forces all transactions into a clear framework, where previously companies might have had leeway.

Income Statement Presentation: By Nature vs. Function

Under IAS 1, companies could present expenses either **by function** (grouped as cost of sales, admin, R&D, etc.) or **by nature** (grouped by expense type, e.g. depreciation, wages) (Source: www.accaglobal.com). IFRS 18 maintains this choice but places new requirements around it. An entity must decide which method provides the “most useful information” for its business model (Source: www.pwc.com).

- If presenting by **function**, companies must additionally disclose, in the notes, an analysis of expenses **by nature** (in effect, supplying a dual perspective) (Source: www.pwc.com). For example, a manufacturer publishing a cost-of-sales line in the P&L must also show how much of that cost-of-sales consists of raw materials, labor, depreciation, etc.
- If presenting **by nature** on the face, no further breakdown is mandated (as each line is already at a detailed nature level).
- Mixed approaches are allowed (some expenses by function, others by nature), but the basis must be clear (e.g. labeling “depreciation costs” distinctly) (Source: www.accaglobal.com).

IFRS 18 explicitly requires entities to justify their choice of presentation and to apply it consistently. Over time, companies will likely standardize internally on one approach, but IFRS 18 forces them to consciously make this choice and capture the relevant data. A notable effect: if a company switches from function to nature presentation (or vice versa) as permitted, it must ensure comparability and explain the change, potentially restating comparatives.

Aggregation/Disaggregation in Notes

Beyond the face of the statements, IFRS 18’s aggregation/disaggregation guidance applies to the notes as well. The principle is that **information with shared characteristics should be presented together**, whereas dissimilar information should be separated to avoid obscuring details (Source: www.ifrs.org) (Source: www.accountancyireland.ie). In practice, this could affect things like geographical segment disclosures or line-item notes: e.g., an entity should group items measured on the same basis or subject to the same risks, and not hide a material item inside an “other” subtotal in the notes.

For example, if a note discloses revenue by product, IFRS 18’s guidance implies that only products with truly different characteristics (e.g. different profit margins or risk profiles) should have separate lines. Minor products should be aggregated unless they become material. This is a subtle shift that requires preparers to think more deliberately about note layouts. As KPMG commented, IFRS 18 “enhanced guidance on how companies group information in the financial statements” (Source: www.ifrs.org), which means entities will likely revisit not only the P&L but all notes for clarity.

A corollary is that IFRS 18 emphasizes connectivity: notes must clearly link to the face. For instance, IFRS 18 introduces a note where all MPMs are reconciled – effectively directly tying those items to the P&L structure. Also, any reclassification (due to main activities judgment) should be evident from the breakdowns in the notes (e.g. illustrating what would have been in investing but is in operating). Thus, IFRS 18 promotes a coherent narrative between P&L subtotals and note disclosures.

Case Studies and Examples

To illustrate IFRS 18’s effects, consider these hypothetical scenarios:

Case Study 1: Manufacturing Company

Scenario: ABC Manufacturing Co. is a European car parts maker with a traditional business. Under IAS 1, ABC’s P&L (2025) might look like: Revenue – COGS = Gross Profit; then Selling/Admin = Operating Profit; plus financing costs below the line; then tax; then net profit. ABC also often reports “EBITDA” and “Adjusted profit” in investor presentations (but not in the audited P&L).

IFRS 18 Impact: In 2027 (with 2026 comparatives), ABC must present IFRS 18 categories. Presumably, “Operating” is its main activity. Thus:

- **Operating category** will include its usual revenue and COGS and selling/admin expenses. Its “Operating profit” will be comparable to pre-IFRS 18 operating profit (since financing isn’t core).
- **Investing category** might include things like interest earned on surplus cash or share of profit from an associate (if any), as well as gains/losses on occasional asset sales. For ABC, that might not be material every year, but any items like R&D grants or government subsidies (if not core) could also appear here.
- **Financing category** will now only include pure finance activities. That means interest on any debt or lease interest will appear here. Under IAS 1, ABC might have put interest expense under “finance expense” after Operating – this remains similar, but IFRS 18 requires it to be *entirely* in Financing. If ABC had a defined benefit pension, the service cost part stays in Operating (as part of “personnel expense”), but the interest cost on the pension liability moves to Financing (where it might have been before anyway).
- **Mandatory subtotals:** ABC will introduce “Operating profit” (which is effectively EBIT in this case) on the face. It will also show “Profit before financing and income taxes” (which for ABC is likely identical to operating profit, since it has no separate ‘non-financing, non-tax’ items). Finally, “Profit or loss” (net profit) is at the bottom as usual.

ABC's **non-GAAP metrics**: Suppose ABC often highlighted EBITDA = Operating profit + Depreciation. Under IFRS 18, EBITDA is an MPM (an operating-type subtotal used outside the financials). IFRS 18 requires ABC to include EBIT (which it now does as Operating profit) and to provide a note where "EBITDA" (its MPM) is reconciled. The note will break down how it got from Operating profit to Adjusted EBITDA (adding back depreciation and any other adjustments it had been using) (Source: [kpmg.com](https://www.kpmg.com)) (Source: www.accountancyireland.ie). This adds transparency: investors will see exactly what the adjustments are, with tax effects and potential noncontrolling interest items shown.

Implications: For 2026, ABC must restate the prior year's P&L in the IFRS 18 format. It prepares explanatory tables to show investors how 2026 numbers (previously only in old format) would appear in the new categories. It updates its accounting system: for instance, it codes all expense accounts to "Nature" tags so it can easily report by nature if it chooses. It ensures interest on bank loans is clearly tagged as "Operating (main financing)" or "Financing" depending on any nuances. It rewrites footnote disclosures; e.g., the breakdown of operating expenses by nature if it presented by function.

Case Study 2: Commercial Bank

Scenario: XYZ Bank is a large international bank for which lending and financing customers is the core business. Under IAS 1, its P&L might have Net Interest Income as a major heading, then non-interest income (fees, trading gains) to arrive at Operating profit.

IFRS 18 Impact: IFRS 18 specifically addresses banks: because providing finance to customers is a main activity for XYZ, most interest flows go to the Operating category:

- **Operating category:** Includes all interest income and expenses from loans/deposits (the bank's core products), plus fee income and trading gains (since these are operating in a bank). In effect, almost everything gets lumped into Operating — for example, interest on deposits (expense) and interest on loans (income) both land in Operating.
- **Investing category:** Might include earnings from excess cash investments that are managed independently (if any), but in practice a bank's large trading and investment portfolio may also be considered part of core financing/investing. The rules are such that standard banking yields mostly stay in Operating anyway (Source: www.deloitte.com).
- **Financing category:** For a bank, only the costs of raising capital in a non-trading sense might remain (e.g. issuance of subordinated debt intended solely to fund lending). But even here, because XYZ's primary business is finance, much of this could arguably go into Operating. IFRS 18 allows a bank to treat some financing-related items as Operating to reflect reality.
- **Subtotals:** XYZ will show an "Operating profit" figure which essentially aggregates all normal banking income and expenses before tax. It will also show "Profit before financing and tax" (but for a bank this may again equal Operating profit, since there are no extra categories to strip out), and net profit as usual.

Because banks often report metrics like net interest margin and return on assets, IFRS 18 adds clarity by showing these directly in audited statements. However, XYZ still may use a metric like "underlying profit" excluding certain one-offs; under IFRS 18 that is an MPM requiring reconciliation.

Implications: XYZ's finance systems may already distinguish "funding cost" accounts from "customer loan" accounts, but now those distinctions map into IFRS categories. The bank's accounting policies will explicitly state which interest items are deemed **not** to be financing activities (for a bank, the portion of interest on borrowings that funded customer lending might stay in Operating). It will need to ensure that the net interest income figure (commonly used by analysts) reconciles to the IFRS-defined Operating profit. For disclosures, XYZ must likely add a by-nature note (if it presents by function) – for example, splitting "Other operating expenses" into salaries, IT, etc., since IFRS 18 expects detail.

This shift will surprise some analysts initially (e.g. a drop in reported financing expense because it got swallowed into Operating), but over time it creates a P&L focused on core bank operations. According to IFRS 18 proponents, this makes it easier to concentrate on the bank's real operational profitability (Source: www.deloitte.com) (Source: www.ey.com). In public commentary, a bank might highlight how IFRS 18's changes now align with how investors informally view the accounts (for example, IFRS 18 anchors all customer finance in operating profit, matching analyst models).

Case Study 3: Technology Company with Customer Financing

Scenario: TechCo is a US-based technology hardware manufacturer that sells equipment with in-house financing options. Its customers often pay over 3–5 years. Under IAS 1, TechCo's P&L shows product sales and cost (Operating), and interest income (Investing), since it treated financing as incidental.

IFRS 18 Impact: IFRS 18's main business activity test changes this. If TechCo concludes that providing financing for its products is a "financing main business activity" (not unlikely, given the significance of its finance arm), then the interest earned on customer loans *must* move into the Operating category (Source: www.deloitte.com) (Source: blog.pwc.lu). In effect, TechCo's operating profit will include both product margins and financing margins.

Conversely, any interest expense TechCo incurs on borrowing (to fund the loans) would also go to Operating (since it is raising finance to support core financing to customers). Strictly speaking, that would mean XYZ's financing category might end up small.

Implications: TechCo will need to explain to analysts that its 2027 Operating profit includes what used to be reported as "Investing Income". It may find that its operating margin appears improved (since interest income has been added back) and clarify that this reflects a shift in classification, not new profitability. Management's internal KPIs (perhaps EBITDA) will need adjusting to compare apple-to-apple. Regulators, if comparing TechCo to pure manufacturers, must note that TechCo's Operating profit now looks larger due to classification.

Learnings from hypothetical: This kind of case emphasizes the judgment calls in IFRS 18 on determining main activities. As PwC's blog notes, many companies (even manufacturers) might find that customer financing pushes them into the "financing as a main activity" bucket (Source: blog.pwc.lu). Each company must justify its categorization based on evidence (like volumes of financing receivables vs product sales). The result is more insight but also requires careful communication.

Illustrative Income Statement Formats

To compare traditional vs IFRS 18 P&L structures, the Journal of Accountancy provided a schematic example (see figure below). It contrasts a by-function presentation (focus on gross profit) with a by-nature presentation (focus on underlying costs) under IFRS 18 (Source: www.journalofaccountancy.com). Both yield the same net profit, but the intermediate subtotals and order differ. For brevity, we describe them textually:

- **By-Function (IFRS 18):** Shows "Cost of sales" and "Gross profit" at the top, then breaks out "Selling and administrative expenses" (function). Operating Profit follows. Then Financing (interest, etc.) is separate, then income tax, then net profit.
- **By-Nature (IFRS 18):** Shows broad categories of expenses upfront (e.g. Depreciation, Salaries, Raw Materials), combining to an "Operating Profit" (calculated at the bottom of operating category). Then similar Financing & Tax lines.

This example illustrates that IFRS 18 does *not* prescribe one method; companies can choose what they think best reflects their cost structure. But importantly, both formats must still provide the new subtotals (Operating profit) and the category breakout (by funding type). The example highlights, as IFRS 18 states, that the same economic reality can be presented in two valid ways, and IFRS 18's job is to ensure either way the key subtotals are clearly shown (Source: www.journalofaccountancy.com) (Source: www.accountancyireland.ie).

Discussion of Implications and Perspectives

Benefits of IFRS 18

Improved Comparability: By standardizing the P&L format, IFRS 18 enables "*like with like*" comparison across companies and industries (Source: blog.pwc.lu) (Source: www.ey.com). All firms will present the same set of core line items and totals, so investors can benchmark e.g. operating profit margins directly. Research on financial statement analysis indicates that inconsistent labels and structures are significant obstacles; IFRS 18 directly addresses this long-standing problem (Source: www.journalofaccountancy.com) (Source: www.ey.com).

Greater Transparency of Non-GAAP Measures: Bringing MPMs into the statements forces management to justify any adjustments. Studies have shown many firms relied on APMs that were poorly defined; auditors had limited oversight. IFRS 18 requires reconciliation, effectively eliminating the "guessing game" of how adjusted metrics relate to the IFRS numbers (Source: www.journalofaccountancy.com) (Source: blog.pwc.lu). This should reduce opportunities for "earnings management by reclassification" and increase credibility of reported metrics.

Alignment with Business Logic: IFRS 18 is often lauded for better aligning the financial statements with how management views operations. For example, presenting all operating expenses in one block and isolating financing costs resonates with the familiar concept of EBIT. IFRS Foundation and professionals emphasize that IFRS 18 allows stakeholders to "focus on the company's core operating performance" (Source: www.deloitte.com), which is crucial for valuation and credit analysis.

Data and Digital Accessibility: A structured statement is easier to encode into databases and analyze. This is particularly important for AI and automated analytics, as the Journal of Accountancy notes that real-time data demands standardized subtotals (Source: www.journalofaccountancy.com). Regulators may also find it easier to run screenings for outliers when format is uniform.

Challenges and Criticisms

Implementation Effort: Virtually every preparer and their auditors acknowledge that IFRS 18 implementation is a significant project. The needed changes to IT systems, data collection, and controls are non-trivial (Source: [kpmg.com](https://www.kpmg.com)) (Source: www.deloitte.com). The PwC blog bluntly calls it a “structural shift” that will touch “systems to processes to internal reporting” (Source: blog.pwc.lu). Smaller companies with limited resources might find the burden especially heavy, even if they could theoretically apply IFRS 18 at will. The timing (three-year lead) is intentional, but in reality some firms will struggle to reassign staff after absorbing recent IFRS 17/ IFRS 16 changes.

Judgment and Consistency Issues: IFRS 18 introduces new judgment areas (main activity determination, aggregation decisions). With such subjective elements, there may be inconsistency between companies or even between subsidiaries. As PwC notes, for conglomerates this “creates a real challenge” since different parts of the group may reach different conclusions (Source: www.accountancyireland.ie). Over time, fewer and fewer individual material judgments is desired; IFRS 18 may require ongoing monitoring to ensure consistency and to explain any differences.

Risk of Over-disclosure or Complexity: The drive to disaggregate material items could lead some companies to overload financial statements with minor details, potentially obscuring rather than clarifying. There is a balance to strike, and auditors will be vigilant. Also, lodging more MPMs into the footnotes makes financials longer and more complex. Some commentators worry that if companies treat IFRS 18 as a tick-the-box exercise, the P&L might veer towards verbosity. However, the IFRS guidance tries to counteract this by anchoring to “management’s view of performance” in a disciplined way (Source: [kpmg.com](https://www.kpmg.com)).

Cultural Shift in Reporting: Especially in regions where companies heavily market non-GAAP figures, IFRS 18 forces a cultural change. In the UK strategic reports (front half of annual reports), adjusted profit measures are pervasive. Now those adjustments must be disclosed in the back-half note. Companies will have to carefully coordinate *what* they discuss in the strategic report versus what is in the IFRS 18 note, to avoid redundancy or conflict. Some may argue this overlaps with corporate narrative reporting, but the trend is towards integrating non-GAAP metrics with audited statements.

International Coordination with US GAAP: As noted earlier, with IFRS 18 and no FASB counterpart announced, U.S. investors will see IFRS reporters using a different format from U.S. GAAP reporters. While the standards themselves allow reconciliation of the actual results, this structural difference could be confusing. Only time will tell if FASB moves in a similar direction. (There was discussion of a global “Revenue” or “expenses” presentation project in FASB years ago, but no equivalent of IFRS 18 has emerged as of 2025.)

Future Directions

Looking ahead, IFRS 18 is likely to be a stable standard, but it will evolve through practice and interpretation. For instance, the IFRS Interpretations Committee is already issuing agenda decisions that clarify how IFRS 18 interacts with other standards (e.g. how to handle foreign exchange, taxes, leases) (Source: www.ifrs.org) (Source: www.ifrs.org). Analysts and preparers will produce tables and software mapping IFRS 18 to IAS 1 for several years. The IASB will monitor application issues — for example, investors might submit requests if they find certain disclosures lacking under IFRS 18.

For companies, IFRS 18 could also prompt re-examination of performance metrics and even business strategy. For example, if “Operating profit” is critical for stakeholder communication, some firms might adjust their business processes to optimize that metric. One foresight view is that integrated reporting or dashboards may leverage the clearly defined categories of IFRS 18 for better external communication. Companies that have already implemented IFRS software (e.g. one-controller or consensus planning tools) may use this change as a chance to harmonize their systems further.

On a normative level, IFRS 18 might eventually influence GAAP standards or local IFRS equivalents. Standard-setters and regulators will watch for unintended consequences. For instance, will the new structure improve or distort how earnings quality is assessed? Academic research might emerge comparing pre- and post-IFRS 18 reporting to quantify effects on variance or persistence of profits. Internationally, as IFRS 18 is implemented across Europe, Asia, and beyond, multinationals might need to coordinate disclosure (e.g. how EU-endorsed IFRS adds local carve-outs).

Finally, IFRS 18’s development underscores an ongoing trend: financial reporting is becoming more structured and connected to technology and investor behavior. It fits into the IASB’s broader initiatives (like potential digital reporting frameworks). As CFO Magazine and others note, IFRS 18 places finance teams “at the heart of a fast-moving, data-driven world” (Source: www.journalofaccountancy.com). Executives may move to integrate their financial reporting more tightly with analytics and ensure key data (like IFRS 18 categories) feeds into KPI dashboards and board reports.

Conclusion

IFRS 18 is a landmark standard that reshapes how companies present their performance. It establishes clarity and comparability by imposing a defined format on the income statement, integrating non-GAAP measures, and tightening disclosure requirements. For the fiscal year 2026, reporting entities should expect to undertake broad changes: restating prior-year statements, upgrading systems, training personnel, and refining their communications strategy. While the transition is challenging, the potential benefits — especially for investors — are significant. More transparent, standardized statements will facilitate better capital markets decision-making. As industry experts and regulators have emphasized, the key to success is early preparation and robust impact assessment (Source: [kpmg.com](https://www.kpmg.com)) (Source: www.accountancyireland.ie).

Ultimately, IFRS 18 invites companies to “tell their story” in a clearer, more connected way. It calls for finance teams to re-engage with what underpins their key metrics and for boards to ensure the message to shareholders is aligned across the annual report. The adoption of IFRS 18 may mark the beginning of an era where income statements across the world look more alike than ever. Stakeholders who embrace this change — starting with readiness planning now — will be best positioned to leverage the enhanced comparability and trust that IFRS 18 promises.

References: The analysis above draws on official IFRS Foundation announcements and standards (Source: www.ifrs.org) (Source: www.ifrs.org), interpretative guidance (IFRIC) (Source: www.ifrs.org) (Source: www.ifrs.org), and publications from leading accounting firms and professional bodies (KPMG (Source: [kpmg.com](https://www.kpmg.com)) (Source: www.accountancyireland.ie), PwC (Source: www.pwc.com) (Source: blog.pwc.lu), Deloitte (Source: www.deloitte.com) (Source: www.deloitte.com), EY (Source: www.ey.com), ACCA (Source: www.accaglobal.com) (Source: www.accaglobal.com), and the *Journal of Accountancy* (Source: www.journalofaccountancy.com) (Source: www.journalofaccountancy.com). These sources document IFRS 18's requirements, rationale, and real-world implications. All factual claims and quotations in this report are backed by the references cited.

Tags: ifrs 18, income statement, financial reporting, ias 1 replacement, operating profit, mpms, accounting standards

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The Footnotes Analyst

Analytical Insights for Investors

Why IFRS 18 is good news for investors

Last updated 9 April 2024

The IASB has issued its new international standard for the presentation of financial statements – IFRS 18. Changes that will benefit investors include a prescribed operating-investing-financing structure for the income statement, new defined subtotals, additional disaggregation, and a more relevant cash flow presentation.

IFRS 18 will better align financial reporting with equity analysis and provide additional and more comparable data to facilitate that analysis, including data that should help investors to forecast performance and assess risk.

The IASB’s newly issued standard IFRS 18 mainly deals with the presentation of the income statement, balance sheet and certain footnotes. At the same time, certain aspects of the cash flow statement are modified. IFRS 18 does not change the recognition and measurement of the components of financial statements; therefore, the amounts reported as shareholders’ equity and net income are both unchanged. However, it will have a significant impact on the presentation and disaggregation of what is reported (primarily in the income statement and footnotes), including what subtotals companies must provide and how these are defined.

Article update 9 April 2023

The IASB has now published IFRS 18. Although we initially wrote this article prior to the standard being finalised, our comments and analysis remain valid. You can access all of the IASB’s documents [here](#), including the full text of IFRS 18 and a non-technical summary.

We welcome the new standard and believe that it will result in more comparable and relevant information, more understandable financial statements, and financial data that is presented in a manner that more closely reflects how it is typically used by investors. You will have to wait for the full benefit to come through – the new standard will only be mandatory from 2027; however, we anticipate many companies will start to align with IFRS 18 sooner than that.

More comparable and more relevant financial statement data for investors

There are five main areas where we think the new standard will help investors:

Operating–Investing–Financing classification

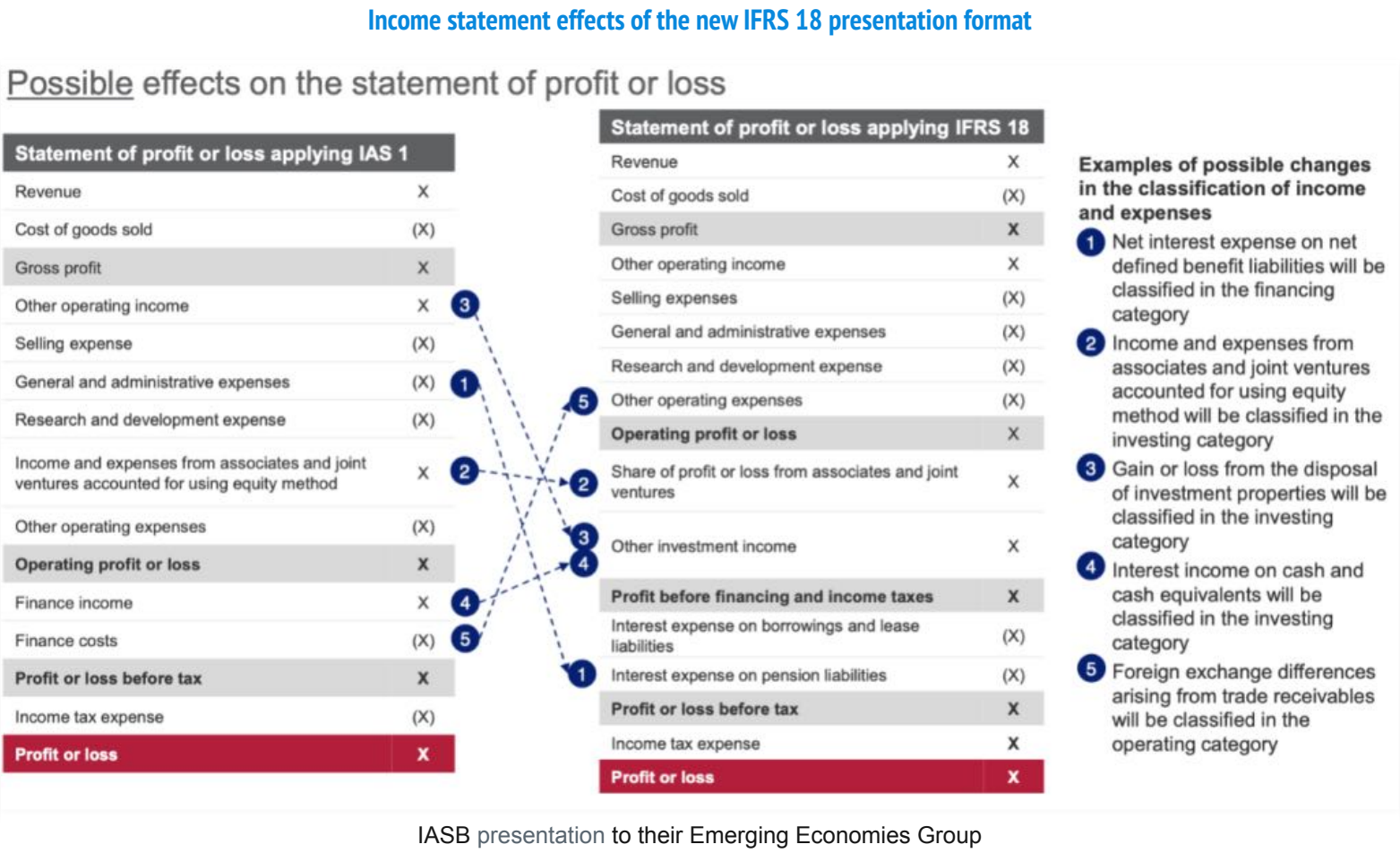
Under IFRS 18, all companies will present separate categories of income and expense for operating, investing and financing activities. This is in addition to the existing discontinued-activities and taxation classifications in the income statement. There will be required subtotals following each of the new categories such that, for the first time, IFRS reporters must provide a measure of operating profit and profit before financing (equivalent to the commonly quoted EBIT). Although a not a required disclosure, there will also be a defined ‘specified subtotal’ of the profit before financing, tax, depreciation and amortisation – effectively EBITDA, even though that acronym is not used.

Income and expense from investing activities is defined as that arising from investments where gains and losses are largely independent of other activities, unlike the integrated nature of operating activities. Investing also includes income from all equity accounted investments in associates and joint ventures. Financing activities not only includes interest expense arising from financing obligations, but also interest accretion amounts from other liabilities measured on a present value basis, such as pension and other provisions. Of course, the IFRS requirements are much more detailed than this, but you will get the picture.

Although many companies already separate investing and financing items in profit and loss, there is often little consistency in how these are presented and where subtotals are struck. The new format should provide you with a much more consistent presentation.

IFRS 18 will result in greater consistency and additional subtotals

The IASB has used the following diagram to illustrate the possible changes to the presentation of certain income and expense items that could result.



Why the operating-investing-financing classification will be good for investors

The new structure for the income statement better aligns with the typical enterprise value based approach to equity analysis and valuation that we advocate¹ and commonly used by investors. The operating section will more clearly provide the data needed for enterprise value multiples and form the basis for free cash flow in enterprise FCF based discounted cash flow analysis. Gains and losses classified as investing or financing relate to assets and liabilities whose fair value is best separately incorporated into market based enterprise value metrics used in valuation multiples, and in the enterprise to equity bridge in DCF analysis.

Post IFRS 18, it may well make sense for investors to adjust their approach to enterprise value to align with the new structure, such as including pensions in EV (if you are not already doing so) and treating associates as investments and not as a component of operating activities.

The treatment of associates is challenging, and we note that the IASB originally proposed a split of these into ‘integral’ (closer to operating activities) and ‘non-integral’ (classified as investments). We rather liked this approach and supported it in our comment letter on the IASB’s earlier exposure draft, even though we recognised the practical difficulties. Overall, the classification of all associates as part of investing activities, as will be the case in IFRS 18, will end the existing diversity in presentation and is helpful for investors.²

Several years ago, the IASB considered applying the same operating-investing-financing structure to the balance sheet, with a principle of ‘cohesiveness’ applied across the primary statements. Such an approach has a lot of appeal for equity analysis, not least because it would make it easier to derive ratios such as return on invested capital.

Operating-investing-financing format will not apply to the balance sheet

Ultimately, cohesiveness proved too challenging, and IFRS 18 will not result in any significant changes to the structure of the balance sheet. Nevertheless, we hope that companies will separately present balance sheet items that are linked to gains and losses presented differently in profit and loss, even if they cannot organise the balance sheet based on the same categories. The principles of disaggregation we explain below also apply to the balance sheet and, we would argue, that one of the ‘characteristics’ that should be considered for balance sheet disaggregation is the classification of the related income statement items.

Defined operating profit

While many companies currently provide a measure of operating profit, there is no clear definition of this subtotal in IFRS; what might appear to be comparable measures may, in practice, be defined quite differently. For example, operating profit measures may currently include interest expense items that other companies include in financing, and practice varies whether or not income from associates is included. The treatment of exchange differences is another area that creates inconsistencies.

IFRS 18 does not directly define operating profit but instead defines what should be classified as investing and financing, with everything else (other than taxation and discontinued activities) classified as operating. Nevertheless, operating is described as a company’s “main business activities”. We think this approach works well and is consistent with how investors regard this important measure of performance. Defining operating as a residual also ensures that management are not able to exclude from operating profit the inconvenient ‘other’ items (usually more other expenses than other income) that they may not wish investors to focus on too closely.

Operating profit is a company’s main business activity plus anything else not investing or financing

One of the challenges in specifying the presentation and classification of profit is how to deal with those financial companies for which interest income and expense or investment income is their main business activity. In this case, IFRS 18 requires that interest and investment income (that would be reported as investing and financing by non-financial companies) are instead reported as components of operating activities. As a result, the performance reporting by banks and insurers will be largely unchanged.

Why defining operating profit will be good for investors

Operating profit is a key metric for investors. It is used in equity analysis, such as in profit margin and return on invested capital measures, and in equity valuation as part of enterprise value multiples and in deriving enterprise free cash flow for DCF analysis. The greater comparability of operating profit under IFRS 18 (and in some cases the reporting of this subtotal for the first time) should improve the relevance of these analytical measures.

However, remember that any change in a company’s definition of operating profit may require you to change your calculation of other metrics. For example, in return on invested capital measures, it is important that the profit and invested capital components are consistent. If income from associates was previously included in operating profit, the balance sheet value of associates should be included in invested capital (i.e. not deducting associates from invested capital). Under IFRS 18 operating profit will exclude income from associates and, therefore, you should similarly exclude the investment in associates from the invested capital component of ROIC.³

We also like the new definition of a metric equivalent to EBITDA. This is not a required disclosure under IFRS 18 but rather a ‘specified subtotal’ meaning that, if disclosed, there will be a common definition. This measure is often used by investors (in fact over-used in our view⁴) and at present EBITDA can be presented quite differently. Some companies and investors make additional ‘non-cash’ adjustments beyond depreciation and amortisation, and there are different approaches to adjusting for ‘exceptional’ items. While ‘EBITDA’ will likely still be adjusted post IFRS 18, there should at least be a common starting point.

Many companies are likely to be affected by the new prescribed structure of the income statement, including our example below, Air France-KLM:

Air France-KLM income statement extract

(in € millions)	Notes	2023	2022 restated ⁽¹⁾
Revenues from ordinary activities		30,019	26,393
External expenses	7	(18,139)	(16,438)
Salaries and related costs	8	(8,650)	(7,289)
Taxes other than income taxes		(164)	(156)
Other current operating income and expenses	9	1,142	1,105
EBITDA		4,208	3,615
Amortization, depreciation and provisions	10	(2,496)	(2,422)
Income from current operations		1,712	1,193
Sales of aircraft equipment	11	32	66
Other non-current income and expenses	11	(67)	(65)
Income from operating activities		1,677	1,194
Interests expenses	12	(600)	(569)
Income from cash and cash equivalents	12	253	41
Net cost of financial debt	12	(347)	(528)
Other financial income and expenses	12	(183)	(324)
Income before tax of consolidated companies		1,147	342
Income taxes	13.1	(164)	390
Net income of consolidated companies		983	732
Share of profits (losses) of associates	20	7	12
Net income for the period		990	744

Air France-KLM 2023 financial statements

Although Air France KLM currently provides an operating profit measure, this is likely to change after IFRS 18 is implemented. For example, at present the interest expense relating to defined benefit pension plans is included in operating results, whereas under IFRS 18 this must be part of financing. The change will enhance comparability with those companies that already chose to present this item in financing, such as competitor airline IAG. Interestingly, other subtotals are presented in the operating section above. This will still be permitted under IFRS 18 (subject to certain restrictions).

Another change to the above prompted by IFRS 18 will be the separation of investing and financing, and the presentation of income from associates as part of investing. Air France-KLM currently applies a relatively unusual approach of showing associates below taxation. All these changes will help in ensuring greater comparability.

Disaggregation and the end of other income and expense

IFRS 18 will introduce new guidance regarding when additional disaggregation is needed for items presented on the face of the primary financial statements or in the footnotes. The standard will also mandate meaningful descriptions for line items, which is not always the case at present – no more income or expenses confusingly labelled as “other”.

The disaggregation principles in IFRS 18 are based on identifying whether items have similar or dissimilar characteristics, such how items vary in response to external economic factors, whether an item is non-recurring, or whether it represents a change in value rather than a current period flow. Importantly, just one different characteristic will result in companies being required to present an item separately from others – in other words disaggregated.

A single difference in underlying characteristics will require disaggregation and separate presentation or disclosure

IFRS 18 will maintain the existing option to present expense items on the face of the income statement using a ‘by-function’ analysis (cost of sales, admin expenses, etc) or a ‘by-nature’ analysis (materials, employee benefits, depreciation, etc). However, there will be a new requirement to provide more detailed by-nature expense disaggregation in the notes.

Why the new disaggregation requirements will be good for investors

In our view, if applied correctly by companies and enforced well by auditors and regulators, the new disaggregation requirements should significantly enhance investor understanding, particularly of performance measures. While at present there is significant disaggregation of income and expense items in both the income statement and supporting footnotes, in our view this does not always go far enough, as we explain in our article ‘Disaggregation is key to understanding performance’.

The separate disclosure of expenses where their nature and underlying economic drivers differ should also enhance the ability of investors to forecast. For example, in the case of Air France-KLM, the company already gives a useful breakdown of expenses that goes beyond what is currently required by IFRS, including the separate disclosure of aircraft fuel expense, where there is clearly different underlying economic drivers.

Air France-KLM expense disaggregation disclosure

Period from January 1 to December 31		
(in € millions)	2023	2022 restated ⁽¹⁾
Aircraft fuel	7,133	7,184
Sustainable aviation fuel	172	57
CO ₂ quotas	203	141
Chartering costs	551	387
Landing fees and air route charges	1,908	1,710
Catering	829	720
Handling charges	1,856	1,608
Aircraft maintenance costs	2,549	2,256
Commercial and distribution costs	1,029	887
Other external expenses	1,909	1,488
TOTAL	18,139	16,438

Air France-KLM 2023 financial statements note 7

We also think that better disaggregation will help in assessing operating risks. While there is no requirement for financial statements to disclose operating leverage, greater disaggregation should help investors better understand the relationship between changes in revenues and operating profit. Furthermore, the risks associated with, and generated by, investing and financing decisions are very different from those arising from operating activities. Having this categorisation in addition to additional disaggregation should further enhance the ability of investors to understand and forecast risk.

Management performance measures

IFRS will bring existing non-IFRS (non-GAAP) ‘management’ performance measures into the audited financial statements. Companies will be required to explain these metrics in a separate footnote and provide a reconciliation to an appropriate IFRS defined performance measure, such as operating profit or net income.

In practice, you may not see much change considering that most companies already provide detailed reconciliations of their adjusted metrics, as required by securities regulation. However, these disclosures will no longer be outside the financial statements.

There is some additional disclosure required by IFRS 18 which may help investors, including a requirement to identify the tax and non-controlling interest impact of each item excluded from any management performance measure. At present this is often done in aggregate, and only if an adjusted earnings measure is provided.

Additional disclosures of the tax and NCI impact of adjustments to management performance measures

Why management performance measure disclosures will be good for investors

Bringing these measures into the scope of IFRS is welcome and will add an additional layer of discipline into a challenging area for investors. Furthermore, the additional tax and NCI disclosures will be particularly useful for investors who wish to make their own adjustments to net income. One word of caution when using this data, IFRS 18 permits companies to apply different approaches to determining the tax effect of adjusting items.

We have previously argued that non-GAAP measures can be very helpful. It is not so much the metrics themselves that are useful but rather that the additional disaggregation is particularly helpful for investors. Companies often exclude expense items that most investors would regard as an integral component of performance, such as employee share-based remuneration, so being able to easily adjust the management figure is important.

Operating cash flow

IFRS 18 does not itself deal with the format of cash flow statements. However, the IASB is also making some limited amendments to IAS 7 to address some existing presentational inconsistencies.

At present, IFRS reporters have flexibility over where they present interest expense and dividend income – either in or outside the operating category – which has led to a lack of comparability of cash flow subtotals. The new requirement is that both these items must be reported outside of the operating activity section of the cash flow statement in either investing or financing, as appropriate.

The other main change is that the calculation of operating cash flow (when presented using the indirect method⁵) must start with the newly defined operating profit. At present companies start the calculation with a variety of profit measures, including operating profit, pre-tax profit and net income.

Why the changes to the cash flow statement will be good for investors

A different starting point for indirect operating cash flow reconciliation does not itself affect the final operating cash flow measure, considering that the subsequent addbacks differ. However, in our experience, the differences in presentation currently seen in practice are highly confusing for investors. Having a common starting point, plus the greater comparability achieved by removing presentation options, means that cash flow data will become more relevant and understandable, particularly the operating cash flow metric.

However, an important potential confusion still applies, which is the operating-financing-investing categorisation. This terminology is already used for the cash flow statement and, unfortunately, the new application of these labels in the income statement is not entirely the same. The key difference is the treatment of capex – in cash flow statements this is part of investing cash flow but the equivalent (accruals accounting) income statement impact, in the form of depreciation and amortisation, is included in operating profit. Furthermore, the operating cash flow is post-tax, but operating profit is pre-tax.

Operating cash flow is not exactly the cash equivalent of operating profit

While the current amendments to cash flow statements are welcome, there are other aspects of cash flow reporting that we think should be considered by the IASB. One area we have mentioned many times in our articles⁶ is the disclosure of non-cash transactions which comprise offsetting ‘effective flows’, as we call them. Those investors that understand the issue can make adjustments based on existing disclosures, but it would help all investors if the presentation of these items is improved.

The IASB is already conducting a wider investigation into cash flow reporting so, hopefully, we can look forward to further improvements in the future.

Insights for investors

- **IFRS 18 will not result in changes in assets and liabilities or the measurement of shareholders’ equity and net income. However, key profit and loss subtotals may be impacted, especially operating profit.**
 - **IFRS 18 will improve comparability through a new operating-investing-financing classification and through definitions of operating profit and operating profit before depreciation and amortisation (effectively EBITDA).**
 - **IFRS 18 will result in greater disaggregation in the primary financial statements and notes due to new principles and new requirements for disclosure of expenses ‘by-nature’.**
 - **Greater consistency of presentation and additional disaggregation under IFRS 18 will help investors to understand and forecast performance metrics.**
 - **The limited changes to the cash flow statement will make operating cash flow more comparable and the indirect reconciliation less confusing.**
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How to Focus on “Quality” in Quality of Earnings Reports

A well-known private equity firm acquired a \$40 million in sales company in the consumer brand name space based on an EBITDA estimate for the current fiscal year of \$6 million. This estimate was provided by a seasoned investment banker in its Offering Memorandum. The purchase price was \$36 million or 6 times estimated EBITDA. The company was only half way through the current fiscal year, but had a backlog of orders which it projected would yield \$40 million in sales and a 15% EBITDA. Further, the company was experiencing recent revenue growth with its branded product for athletes and other active sports enthusiasts. As part of its due diligence, the private equity firm engaged a CPA firm to complete a quality of earnings report to validate the financial statements and make sure the books and records were being properly maintained.

Post-closing, the private equity firm then engaged an operational consulting firm to develop a detailed cash flow model to determine working capital needs and validate the order

backlog, current bookings, supply chain and earnings projections.

After spending three days at the Company completing due diligence on its projected sales by customer, order backlog, returns history, existing inventory, supply chain analysis, timing of product inventory delivery from China to fill orders, cost of sales, overhead and other factors that would impact EBITDA during the year, the consulting firm determined that the projected EBITDA would only be \$4 million or a 10% EBITDA during the current fiscal year and that the private equity firm had substantially overpaid for this acquisition by \$12 million.

Financial buyers will often engage a CPA firm to provide a quality of earnings report as part of its pre-acquisition due diligence, primarily to make sure the financial statements are in order, that the working capital accounts of receivables, inventory and payables are properly stated, and that the books and records have been correctly maintained according to GAAP or Generally Accepted Accounting Principles.

Coeus Management LLC is a boutique management consulting and restructuring practice providing due diligence services to investors and lenders and helping companies effect change to improve financial and operational performance.

When acquiring a Company, a financial buyer is often at a disadvantage to a strategic buyer who knows the industry extremely well, understands the metrics that drive the business plan, understands the bottlenecks to increased profitability and has a strategic vision for how the acquisition will fit within its own corporate structure, including being able to add a product line or customer base, improving purchasing and reducing inventory and warehousing needs, thereby improving gross margin and reducing overhead. The traditional approach to assessing quality of earnings, however, does not tend to evaluate operational issues or the management team’s capability of meeting the business plan drivers and targeted metrics. And the diligence team pursuing that traditional approach would have no reason to include those experienced in operational and hands-on management, essential to such an in depth review.

What needs to happen in the due diligence process is that the non-strategic buyer or private equity firm, if it wants to make sure it is buying what will be a good portfolio acquisition at a fair price, should ensure its quality of earnings diligence really gets to grips with how, where and why, the target company makes and loses money. This should not be separate to the Quality of Earnings (“QOE”) Review but an essential part of it. It is this that enables the QOE Report to answer two of its key questions:

- Is the target’s earnings performance repeatable?
- How solid is the target’s cash flow, and what are the ongoing working capital and capital expenditure needs?

The traditional QOE report often focuses almost exclusively on an accounting review of performance – to have it also cover the all important commercial rationale of the target, those conducting the analysis need to have deep operating, financial and hands-on management experience.

With the engagement of such an experienced team, the private equity firm will be able to make a much more informed decision regarding management, price, the target’s ability to meet performance goals, cash flow needs and viability.

Here is what is involved in completing a thorough due diligence process by the evaluation team:

Business Plan Assessment

A good business plan is a “bottoms up” plan that consists of a strategic plan for the business as well as a detailed monthly income statement, balance sheet and direct cash flow that have been fully integrated. The plan should have key metrics identified to drive the business plan, with input and sign off by all the key functional managers in the business. A warning sign would be if: (a) a company has not prepared a detailed business plan, or (b) the company has not identified specific metrics to drive the plan results, or (c) the plan has been prepared by senior management without buy in and sign off by the key operating management team responsible for running the business. Such a plan is usually called a “top down” plan.

Assuming that there is a detailed business plan in place, along with metrics, then the due diligence process would involve determining whether it is reasonable to expect the management team to be able to meet those metric targets. For example, the sales projection should be supported by a detailed list of products by selling price and margin along with a list of customers, order backlog, orders pending, pricing and margins, return history, discounts and other sales offsets. If products are licensed or patented, there should be an evaluation of the license agreements or patents.

There also needs to be an evaluation of whether the company is able to meet its targeted delivery dates by evaluating the manufacturing process, manufacturing inefficiencies, distribution or supply chain issues and other bottleneck issues. Further, there needs to be buy-in and ownership of the metrics by the key functional members of the management team, or a “bottoms up” plan.

Quality of Earnings Analysis / Financial Assessment / Cash Flow

Four areas of focus

At the heart of a truly informative Quality of Earnings Report will be an understanding of what makes money, and why, and what loses money, and why. A good grasp of these is critical for an insightful analysis of past results and projected performance, and for forming a judgment on any appropriate normalization of earnings.

An appreciation of the business’ key value drivers provides a comprehensive framework for the quality of earnings assessment. The value drivers will be those that influence: sales growth, profit margins, working capital investment, fixed capital investment, income taxes, and funding availability / cost.

These in turn can be examined through the following 4 areas of focus:

Focus 1	Focus 2	Focus 3	Focus 4
Determine what drives EBITDA	Test business plan assumptions and earnings sensitivity to changes in operational and financial parameters	Review balance sheet items for potential effects on earnings and cash flow	Funding capacity, covenants, leverage, financial structure

Each area of focus is explored below.

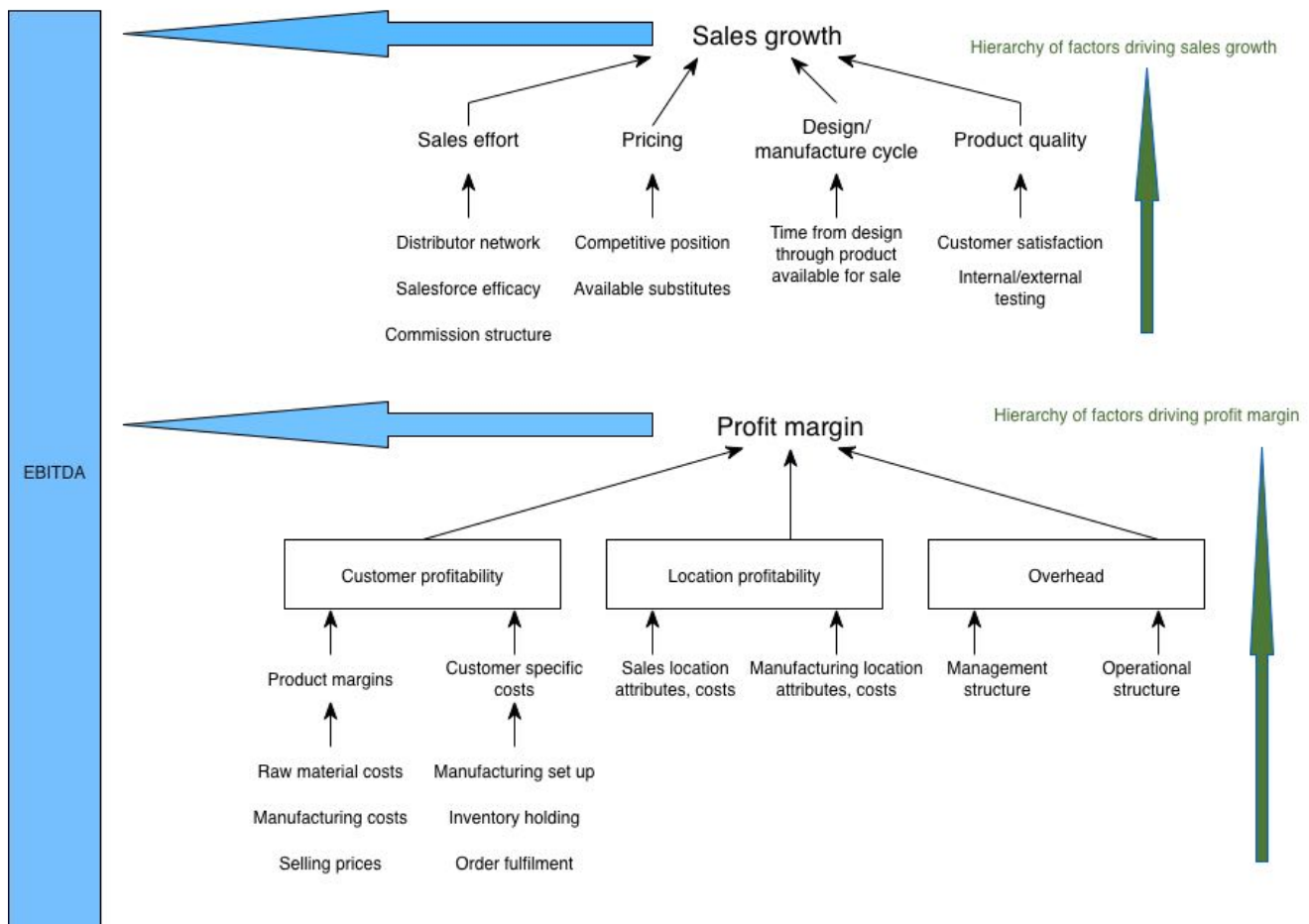
Quality of Earnings Analysis

Focus 1

What drives EBITDA

Examine the key value drivers of sales growth and profit margins to determine what really drives and impedes EBITDA. Understanding these and any other value drivers requires distillation of their contributing elements.

This is best illustrated by way of the following example applicable to a generic consumer products company.



An in depth understanding of what drivers are particularly relevant and influential to the business allows for a rigorous analysis of how the company has performed, and how it may do so in the future.

Focus 2

Test business plan assumptions

An integrated¹ financial model should be used to facilitate:

- A testing of the assumptions incorporated into (any) projections being relied upon.
- An understanding of how changes in the (recent) past may point to future performance, and what, if any, normalization of earnings are required to provide a clearer picture of trending performance.
- An assessment of how any accounting changes impact projected earnings trends

The model will also be an effective tool for understanding cash flow and the potential impact that changes in both internal and external factors can have.

The integrated model should be reflective of:

- The key metrics that drive sales growth and profit margins
- The cyclicity of sales and inventory build
- Working capital needs (which will incorporate any cyclicity)
- Capital expenditure needs
- Income tax assumptions
- Returns to lenders and shareholders.

¹ An integrated Profit & Loss statement, Cash Flow and Balance Sheet

Focus 3

Review Balance Sheet

The balance sheet will be reviewed for anything that may be relevant in understanding the company's past and potential future performance. The key areas of interest are typically the main working capital components of inventory, customer receivables, vendor payables and accruals, and aspects of fixed capital such as maintenance, replacement and capacity.

In the area of working capital, unusual or atypical changes in absolute dollar amounts or turns for inventory, and days' payables and receivables may point to a number of potential earnings affecting issues, such as:

Inventory

- Overstocking, with potential write downs to follow
- Obsolete, out of date inventory
- Channel stuffing, that may impact future sales levels
- Inadequate levels to support sales projections

Customer receivables

- Cash collection issues, bad debt write-offs
- Customer dissatisfaction, potentially affecting future sales

Vendor payables & Accruals

- Overdue payments may be an indicator of, or lead to, supply problems that will hinder production and sales levels.
- Unusual accrual swings over time may point to smoothing of earnings.

Focus 4

Funding capacity,
financial structure

This area of focus entails a review of the business’ funding, capital structure, return on debt and equity and income taxes. The focus is to assess adequacy of funding for the business on its anticipated trajectory, and its ability to weather potential shocks. The following areas will thus be looked into:

- Cash reserves, borrowing facilities
- Borrowing costs
- Debt service
- Borrowing covenants
- Cyclical funding needs
- Risk and financial leverage
- Returns to shareholders
- Taxation

Operational Assessment

In conducting an operational assessment of a business, and depending on the nature of the business, it is important to take an in depth look at such functional areas as: order processing, purchasing, production planning, production, supply chain management, inventory management, warehousing, quality control, testing, delivery and logistics, field service and customer support. The due diligence process involves walking through these functional areas so as to understand the issues, inefficiencies, bottlenecks and other areas where the business plan results can be impaired. The best way to do this is to track an order from its inception through each of the operational areas to completion and delivery. It is also important to understand the issues that can arise during this process.

This can be done by meeting individually with the personnel directly responsible for each of the operational areas and discussing their concerns and issues. These issues may include: raw material cost increases, untimely or incorrect raw material deliveries from vendors, lack of skilled direct labor, plant bottlenecks and capacity constraints, need for additional capital equipment, poor quality control, excess overtime, errors in engineering drawings, building excess inventory, accepting orders with low gross margin, accepting orders where there is a learning curve not included in pricing, accepting orders where required delivery dates cannot be met, delivering unfinished products that will require field service, etc.

Once the interview and walk through process is complete, the due diligence evaluation team should be able to match the issues and concerns it has uncovered to the assumptions contained in the business plan, cash flow and financial statement forecast so as to determine business plan achievability and viability, as well as make recommendations concerning corrective action.

Management Assessment

The most important aspect of the management due diligence process is determining whether the business plan and key metrics have buy-in by the key functional managers in the business, including whether: (a) they each understand and agree with, and are willing to be held accountable for, meeting the business plan targets for which they are responsible, or have issues or concerns in being able to meet these targets; (b) there is a system in place that promotes ongoing communication and interaction amongst the key functional managers, so they are able to address and correct plan variances and other issues that may come up which can impact plan results; (c) the financial officer is being charged with the responsibility and authority to determine the cash flow and financial impact on management decisions that may affect cash flow and working capital availability, and (d) meetings are held on a regular basis to review plan status and that action plans have been put in place and followed through to make sure the issues that can impact performance are dealt with and followed up on a priority basis until resolved satisfactorily.

Evaluating whether the Company can meet its Business Plan targets

If the above controls and procedures are in place, the bottleneck and inefficiency issues have been addressed, and the management team is all on the same page, fully supportive of each other, focused on achieving plan, and has accepted accountability and responsibility for meeting their plan metrics, and if the financial officer is proactive in making sure the metrics, cash flow and EBITDA numbers are being met, and has no problem voicing his or her concern if not being met, then, absent a significant unforeseen event such as loss of a major customer or product line or inability to pass along unusual cost increases, etc., the plan metrics should have a good chance of being achieved.

Summary

An acquisition candidate that has the best chance of becoming a success requires due diligence that includes a comprehensive cash flow, operational and management viability assessment as a key component of a quality of earnings (QOE) report.

The traditional QOE report all too frequently is limited to an accounting review of financial statements, which approach will often fall short of being able to assess whether earnings are repeatable.

Key to any acquisition evaluation and critical to a high quality QOE report is determining management's ability to meet targeted metrics, the likelihood of achieving sales, margin and profitability goals, determining what makes money and what does not and why, an assessment of operations, including labor, production bottleneck, manufacturing and scalability issues as well as an examination of cash flow and funding needs.

As a consequence, in addition to the normal accounting review of performance, the best due diligence team to conduct a QOE assessment needs to include experienced operating and finance professionals who have hands on management experience in driving business plan goals, meeting business plan metrics and managing cash flow. This rounded team is best equipped to assess sustainability or "Quality" of earnings.

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This white paper, the first in a series on due diligence insights, was written by Barry Green and Leland B. Goldberg, partners at Coeus Management LLC.

Barry Green and Lee Goldberg together have over 50 years' experience in operating businesses and in management consulting. Prior to founding Coeus Management they were managing directors for a number of years at Getzler Henrich & Associates, a highly respected middle market turnaround management firm.

They have utilized their deep hands-on operational and financial expertise to provide a suite of due diligence services for lenders and investors. Drawing on many years of managing and restructuring companies, their investigative approach to due diligence reveals how businesses make and lose money - instructive to investors and lenders both on what to expect from the target companies, and what opportunities there are for improved performance.



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